

CHAPTER 350 - MUNICIPAL OBLIGATIONS

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GENERAL PROVISIONS

NRS 350.0015 Definitions. As used in this chapter, unless the context otherwise requires, the words and terms defined in [NRS 350.0045](#) to [350.0075](#), inclusive, have the meanings ascribed to them in those sections.

(Added to NRS by [2001, 2303](#))

NRS 350.0045 “General obligation debt” defined. “General obligation debt” means debt that is legally payable from general revenues, as a primary or secondary source of repayment, and is backed by the full faith and credit of a governmental entity, and if the governmental entity is authorized to levy taxes, by those taxes. The term includes, without limitation, debt represented by local government securities issued pursuant to this chapter and installment-purchase agreements described in subsection 1 of [NRS 350.0055](#). The term does not include, without limitation:

1. Installment-purchase agreements described in subsection 2 of [NRS 350.0055](#);
2. Special obligations; and
3. Obligations with a term of less than 1 year that are payable in full from money appropriated for the same fiscal year in which the obligations are incurred.

(Added to NRS by [2001, 2303](#))

NRS 350.0055 “Installment-purchase agreement” defined. “Installment-purchase agreement” means an agreement for the purchase of real or personal property by installment or lease or another transaction that is described in [NRS 350.800](#) which:

1. Is required to be counted against any limit upon the debt of a local government pursuant to subsection 1 of [NRS 350.800](#); or
2. Is not required to be counted against any limit upon the debt of a local government and:

(a) Exceeds \$100,000 for a local government in a county whose population is 100,000 or more; or

(b) Exceeds \$50,000 for a local government in a county whose population is less than 100,000.

Ê The term “installment-purchase agreement” does not include an obligation to pay rent pursuant to a lease which contains no option or right to purchase or which contains only an option or right to purchase the property without any credit towards the purchase price for lease or rental payments.

(Added to NRS by [2001, 2303](#))

NRS 350.0065 “Local government” defined. “Local government” has the meaning ascribed to it in [NRS 354.474](#).

(Added to NRS by [2001, 2304](#))

NRS 350.007 “Medium-term obligation” defined. “Medium-term obligation” means an obligation to repay borrowed money evidenced by a note or bond which is authorized to be issued pursuant to [NRS 350.087](#) to [350.095](#), inclusive, and which has a term of 10 years or less. The term does not include an obligation which has a term of less than 1 year and which is payable in full from money appropriated for the same fiscal year that the obligation is incurred.

(Added to NRS by [2001, 2304](#))

NRS 350.0075 “Special obligation” defined. “Special obligation” means a municipal security issued pursuant to [NRS 350.582](#).

(Added to NRS by [2001, 2304](#))

NRS 350.008 Term of installment-purchase agreement. For the purposes of this chapter, the term of an installment-purchase agreement must be determined as the period from the date the agreement is entered into by a local government to the date that the purchase price will be paid in full and must include the term of the original agreement and the term of any renewal, including, without limitation, an optional renewal, of the agreement.

(Added to NRS by [2001, 2304](#))

NRS 350.009 Regulations.

1. The Committee on Local Government Finance may adopt such regulations as are necessary for the administration of this chapter.

2. Any regulations adopted by the Committee on Local Government Finance must be adopted in the manner prescribed for state agencies in [chapter 233B](#) of NRS.

(Added to NRS by [2001, 2304](#))

DEBT MANAGEMENT COMMISSION

NRS 350.011 Definitions. As used in [NRS 350.011](#) to [350.0165](#), inclusive, unless the context otherwise requires:

1. "Commission" means a debt management commission created pursuant to [NRS 350.0115](#).

2. "Special elective tax" means a tax imposed pursuant to [NRS 354.59817](#), [354.5982](#), [387.3285](#) or [387.3287](#).

(Added to NRS by [1965, 1433](#); A [1993, 2655](#); [1995, 369](#), [765](#), [774](#), [1811](#); [1997, 550](#); [1999, 275](#), [2541](#); [2001, 880](#), [2304](#); [2019, 4238](#))

NRS 350.0115 Creation; composition; selection and terms of members; interest in securities issued by State or political subdivision prohibited; vacancies.

1. There is hereby created in each county whose population is 700,000 or more a debt management commission, to be composed of:

(a) Three representatives of the board of county commissioners from its membership;

(b) One representative of each governing body of the five largest incorporated cities in the county from its membership;

(c) One representative of the board of trustees of the county school district from its membership; and

(d) Two representatives of the public at large.

2. There is hereby created in each county whose population is less than 700,000 a debt management commission, to be composed of one representative of the county, one representative of the school district and the following additional representatives:

(a) In each such county which contains more than one incorporated city:

(1) One representative of the city in which the county seat is located;

(2) One representative of the other incorporated cities jointly; and

(3) One representative of the public at large.

(b) In each such county which contains one incorporated city:

(1) One representative of the incorporated city; and

(2) Two representatives of the public at large.

(c) In each such county which contains no incorporated city, one representative of the public at large.

(d) In each such county which contains one or more general improvement districts, one representative of the district or districts jointly and one additional representative of the public at large.

3. In Carson City, there is hereby created a debt management commission, to be composed of one representative of the Board of Supervisors, one representative of the school district and three representatives of the public at large. The representative of the Board of Supervisors and the representative of the school district shall select the representatives of the public at large and, for that purpose only, constitute a quorum of the debt management commission. Members of the commission serve for a term of 2 years beginning on January 1, or until their successors are chosen.

4. Except as otherwise provided in subsection 1, each representative of a single local government must be chosen by its governing body. Each representative of two or more local governments must be chosen by their governing bodies jointly, each governing body having one vote. Each representative of the general improvement districts must be chosen by their governing bodies jointly, each governing body having one vote. Each representative of the public at large must be chosen by the other members of the commission from residents of the county, or Carson City, as the case may be, who have a knowledge of its financial structure. A tie vote must be resolved by lot.

5. A person appointed as a member of the commission in a county whose population is 100,000 or more who is not an elected officer or a person appointed to an elective office for an unexpired term must have at least 5 years of experience in the field of public administration, public accounting or banking.

6. A person appointed as a member of the commission shall not have a substantial financial interest in the ownership or negotiation of securities issued by this State or any of its political subdivisions.

7. Except as otherwise provided in this subsection, members of the commission or their successors must be chosen in January of each odd-numbered year and hold office for a term of 2 years beginning January 1. The representatives of incorporated cities must be chosen after elections are held in the cities, but before the annual meeting of the commission required by subsection 2 of [NRS 350.012](#). The term of a representative who serves pursuant to paragraph (a), (b) or (c) of subsection 1 is coterminous with the term of his or her elected office, unless the public entity that appointed the representative revokes his or her appointment.

8. Any vacancy must be filled in the same manner as the original choice was made for the remainder of the unexpired term.

(Added to NRS by [1965, 1433](#); A [1969, 332](#); [1971, 222, 943](#); [1977, 537](#); [1987, 1719](#); [1993, 2239](#); [1995, 765](#); [1999, 2528, 2541](#); [2001, 188](#), [1978](#); [2005, 123](#); [2011, 1215](#); [2025, 3182](#))

NRS 350.012 Meetings; officers; removal of member; quorum; compensation.

1. The commission shall meet during the month of February of each year to organize by selecting a chair and vice chair. In a county whose population is 700,000 or more, the chair must be one of the representatives of the board of county commissioners. The county clerk is ex officio the secretary of the commission.

2. In addition to the organizational meeting, each commission shall meet annually and at the call of the chair whenever business is presented, as provided in [NRS 350.014](#) and [350.0145](#).

3. In conjunction with the meetings required by subsections 1 and 2, the commission in a county whose population:

(a) Is 100,000 or more but less than 700,000, shall meet each calendar quarter.

(b) Is 700,000 or more, shall meet each month.

Ê The meetings required by this subsection must be scheduled at each annual meeting required by subsection 2.

4. The appointing authority may remove a member of a commission in a county whose population:

(a) Is 700,000 or more if the member fails to attend three consecutive meetings or five meetings during a calendar year.

(b) Is 100,000 or more but less than 700,000 if the member fails to attend two consecutive meetings or three meetings during a calendar year.

(c) Is less than 100,000 if the member fails to attend at least one meeting during a calendar year.

5. Except as otherwise provided in subsection 3 of [NRS 350.0115](#), a majority of the members constitutes a quorum for all purposes.

6. The governing body of the county may provide for the payment to members of the commission who serve as representatives of the public at large:

(a) Compensation of not more than \$40, as fixed by the governing body, for each day or portion of a day of attendance at a meeting of the commission, not to exceed \$400 paid to each such member per month.

(b) While engaged in the business of the commission, the per diem allowance and travel expenses generally provided for officers and employees of the county, if any.

(Added to NRS by [1965, 1433](#); A [1971, 943](#); [1977, 537](#); [1995, 766](#); [1999, 2529, 2542](#); [2001, 187](#); [2005, 125](#); [2011, 1217](#); [2025, 3183](#))

NRS 350.0125 Technical assistance provided by Department of Taxation or board of county commissioners to carry out duties of commission.

1. The commission in a county whose population is less than 52,000 may request technical assistance from the Department of Taxation to carry out the duties of the commission. Upon such a request, the Department of Taxation shall provide to that commission such technical assistance to the extent that resources are available.

2. The board of county commissioners of a county whose population is 52,000 or more shall provide the commission in that county with such staff as is necessary to carry out the duties of the commission. The staff provided to the commission pursuant to this subsection shall provide such technical assistance to the commission as the commission requires, except the staff shall not render an opinion on the merits of any proposal or other matter before the commission.

(Added to NRS by [1999, 2541](#); A [2001, 1979](#); [2011, 1217](#); [2023, 268](#))

NRS 350.013 Municipalities to submit annually statement of current and contemplated general obligation debt and special elective taxes, statement of debt management policy, plan for capital improvement or alternate statement and certain information regarding chief financial officer; update of information; exceptions.

1. Except as otherwise provided in this section, on or before August 1 of each year, the governing body of a municipality which proposes to issue or has outstanding any general obligation debt, other general obligations or special obligations, or which levies or proposes to levy any special elective tax, shall submit to the Department of Taxation and the commission:

(a) A complete statement of current general obligation debt and special elective taxes, and a report of current debt and special assessments and retirement schedules, in the detail and form established by the Committee on Local Government Finance.

(b) A complete statement, in the detail and form established by the Committee on Local Government Finance, of general obligation debt and special elective taxes contemplated to be submitted to the commission during the fiscal year.

(c) A written statement of the debt management policy of the municipality, which must include, without limitation:

(1) A discussion of its ability to afford existing general obligation debt, authorized future general obligation debt and proposed future general obligation debt;

(2) A discussion of its capacity to incur authorized and proposed future general obligation debt without exceeding the applicable debt limit;

(3) A discussion of its general obligation debt that is payable from property taxes per capita as compared with such debt of other municipalities in this State;

(4) A discussion of its general obligation debt that is payable from property taxes as a percentage of assessed valuation of all taxable property within the boundaries of the municipality;

(5) Policy regarding the manner in which the municipality expects to sell its debt;

(6) A discussion of its sources of money projected to be available to pay existing general obligation debt, authorized future general obligation debt and proposed future general obligation debt; and

(7) A discussion of its operational costs and revenue sources, for the ensuing 5 fiscal years, associated with each project included in its plan for capital improvement submitted pursuant to paragraph (d), if those costs and revenues are expected to affect the property tax rate.

(d) Either:

(1) Its plan for capital improvement for the ensuing 5 fiscal years, which must include any contemplated issuance of general obligation debt during this period and the sources of money projected to be available to pay the debt; or

(2) A statement indicating that no changes are contemplated in its plan for capital improvement for the ensuing 5 fiscal years.

(e) A statement containing the name, title, mailing address and telephone number of the chief financial officer of the municipality.

2. The governing body of a municipality may combine a statement or plan required by subsection 1 with the corresponding statement or plan of another municipality if both municipalities have the same governing body or the governing bodies of both municipalities agree to such a combination.

3. Except as otherwise provided in subsection 4, the governing body of each municipality shall update all statements and plans required by subsection 1 not less frequently than once each fiscal year.

4. In a county whose population is 100,000 or more, the governing body of each municipality shall update all statements and plans required by subsection 1 not less often than once each fiscal year and not more often than twice each fiscal year, except that a municipality may update a statement or plan required by subsection 1 more often than twice each fiscal year:

(a) If the governing body determines, by a two-thirds vote, that an emergency requires that a statement or plan be updated;

(b) To include an item related to:

(1) An installment purchase that does not count against a debt limit; or

(2) An obligation for which no additional property tax is expected;

(c) To update the purpose of a special elective tax without changing the rate of the special elective tax; or

(d) To comply with the requirements of subsection 5 of [NRS 268.625](#) or subsection 1 of [NRS 350.091](#).

5. The provisions of this section do not apply to the Reno-Tahoe Airport Authority so long as the Authority does not have any general obligation bonds outstanding and does not issue or propose to issue any such bonds. At least 30 days before each annual meeting of the commission, the Authority shall submit to the Department of Taxation a written statement regarding whether the Authority is planning to propose to issue any general obligation bonds before the next following annual meeting of the commission.

(Added to NRS by [1971, 942](#); A [1977, 538](#); [1993, 2656](#); [1995, 147, 308, 766](#); [2001, 880, 2304](#); [2005, 125](#))

NRS 350.0135 Proposal resulting in increase of rate of property taxes: Determination and notification of affected governmental entities by municipality; approval or objection by affected governmental entity; notification of commission of objection; resolution of conflict by commission; establishment of related methods and procedures by commission; exception.

1. Before a municipality may submit to the commission a proposal that will result in an increase in the rate of property taxes, the municipality shall:

(a) Determine whether there is an affected governmental entity; and

(b) If there is an affected governmental entity, provide written notification to the affected governmental entity.

2. A notification sent pursuant to subsection 1 must include, without limitation, a description of:

(a) The proposal and the estimated amount the proposal would increase property taxes; and

(b) The potential effect of the increase on the entity.

3. The governing body of an entity that receives a notification pursuant to subsection 1 shall, by resolution, approve or object to the proposal described in the notice. If the entity approves the proposal, the entity must state in the resolution approving the proposal that the entity has no intent to levy property taxes which, if combined with the increase proposed in the proposal, would cause the combined property tax rate for the area containing the municipality and the entity to exceed the limitation on property taxes set forth in [NRS 361.453](#).

4. If an entity objects to a proposal pursuant to subsection 3, the municipality which provided notice pursuant to subsection 1 shall provide the commission with notification in writing of the objection and the entity's reasons for objecting when submitting the proposal to the commission pursuant to [NRS 350.014](#).

5. If the commission receives a proposal to which an objection has been raised pursuant to subsection 3, the commission shall resolve any conflict between the municipality and the entity over the use of the remaining allowable increase in property taxes and determine whether to approve, in whole or in part, or reject the increase in property taxes set forth in the proposal.

6. In resolving a conflict pursuant to subsection 5, the commission may impose:

(a) A condition or provision described in subsection 2 of [NRS 350.0145](#); and

(b) A condition that:

(1) The amount of the general obligation debt proposed to be imposed must be reduced;

(2) The rate of the special elective tax must be reduced; or

(3) Both subparagraphs (1) and (2).

7. The commission may establish:

(a) A method for resolving conflicts over the unlevied amount of property taxes that may be levied pursuant to [NRS 354.59811](#);

(b) A method for determining the highest and best use of the unlevied amount of property taxes that may be levied pursuant to [NRS 354.59811](#), which must be based upon a comparison of the public needs to be served by the proceeds from the proposed debt or tax levy in a proposal submitted pursuant to [NRS 350.014](#) and the public needs to be served by other possible debts or tax levies by other municipalities whose tax-levying powers overlap; and

(c) A procedure for allowing a municipality that does not levy the maximum amount of property taxes which it may levy pursuant to [NRS 354.59811](#) to reserve a percentage of the remaining allowable increase of property taxes for use in the future and a procedure for determining whether to grant such a reservation. If established, such procedures must:

(1) Allow all municipalities whose tax-levying powers may be affected by such a reservation to enter objections to such a reservation; and

(2) Provide a method for resolving conflicts over the remaining allowable increase of property taxes between municipalities whose tax-levying powers overlap, which must be based upon the highest and best use for the remaining allowable increase of property taxes.

8. This section does not apply to any proposal that is not expected to result in an increase in the rate of property taxes in any jurisdiction.

9. As used in this section:

(a) “Affected governmental entity” means a governmental entity:

(1) That has territory which overlaps the territory of the municipality proposing the special elective tax or general obligation debt;

(2) That is currently not levying the maximum rate of property taxes which it may levy pursuant to [NRS 354.59811](#); and

(3) For which the total combined tax rate levied on the overlapping territory would exceed the limit set forth in [NRS 361.453](#) if the current combined tax rate levied on the overlapping territory is added to:

(I) The tax rate projected for the special elective tax or general obligation debt being proposed by the municipality; and

(II) The unlevied amount of property taxes that currently may be levied by the governmental entity pursuant to [NRS 354.59811](#).

(b) “Remaining allowable increase of property taxes” means the difference between the tax rate allowed for a municipality in the current fiscal year pursuant to [NRS 354.59811](#) minus the tax rate levied by the municipality in the current fiscal year.

(Added to NRS by [2001, 878](#))

NRS 350.014 Approval or notification of commission required for certain proposals.

1. Before any proposal to incur a general obligation debt or levy a special elective tax may be submitted to the electors of a municipality, before any issuance of general obligation bonds pursuant to subsection 4 of [NRS 350.020](#), before entering into an installment-purchase agreement with a term of more than 10 years or, before any other formal action may be taken preliminary to the incurrence of any general obligation debt, the proposed incurrence or levy must receive the favorable vote of two-thirds of the members of the commission of each county in which the municipality is situated.

2. Before the board of trustees of a district organized or reorganized pursuant to [chapter 318](#) of NRS whose population within its boundaries is less than 5,000 incurs a medium-term obligation or otherwise borrows money or issues securities to evidence such borrowing, other than securities representing a general obligation debt or installment-purchase agreements with a term of 10 years or less, the proposed borrowing or issuing of securities must receive the favorable vote of a majority of the members of the commission of each county in which the district is situated.

3. When any municipality other than a general improvement district whose population within its boundaries is less than 5,000 issues any special obligations, it shall so notify in its annual report the commission of each county in which any of its territory is situated.

4. The commission shall not approve any proposal submitted to it pursuant to this section by a municipality:

(a) Which, if the proposal is for the financing of a capital improvement, is not included in its plan for capital improvement submitted pursuant to [NRS 350.013](#), if such a plan is required to be submitted;

(b) If, based upon:

(1) Estimates of the amount of tax revenue from property taxes needed for the special elective tax, or to repay the general obligation debt, and the dates that revenue will be needed, as provided by the municipality;

(2) Estimates of the assessed valuation of the municipality for each of the years in which tax revenue is needed, as provided by the municipality;

(3) The amount of any other required levies of property taxes, as shown on the most recently filed final budgets of each entity authorized to levy property taxes on any property within the municipality submitting the proposal; and

(4) Any other factor the municipality discloses to the commission,

Ê the proposal would result in a combined property tax rate in any of the overlapping entities within the county which exceeds the limit provided in [NRS 361.453](#), unless the proposal also includes an agreement which complies with [NRS 361.457](#) and which is approved by the governing bodies of all affected municipalities within the area as to how the combined property tax rates will be brought into compliance with the statutory limitation or unless the commission adopts a plan that is approved by the Executive Director of the Department of Taxation pursuant to which the combined property tax rate will be in compliance with the statutory limitation; or

(c) If, based upon the factors listed in subparagraphs (1) to (4), inclusive, of paragraph (b), the proposal will affect the ability of an affected governmental entity to levy the maximum amount of property taxes that it may levy pursuant to [NRS 354.59811](#), unless:

(1) The proposal includes a resolution approving the proposal pursuant to subsection 3 of [NRS 350.0135](#) from each affected governmental entity whose ability to levy property taxes will be affected by the commission's approval of the proposal; or

(2) The commission has resolved all conflicts between the municipality and all affected governmental entities and has approved the increase in property taxes resulting from the proposal pursuant to [NRS 350.0135](#).

5. Except as otherwise provided in subsection 6 or in paragraph (b) of subsection 3 of [NRS 350.583](#), if general obligation debt is to be incurred more than 36 months after the approval of that debt by the commission, the governing body of the municipality shall obtain additional approval of the commission before incurring the general obligation debt. The commission shall only approve a proposal that is submitted pursuant to this subsection if, based on the information set forth in paragraph (b) of subsection 4 that is accurate as of the date on which the governing body submits, pursuant to this subsection, its request for approval to the commission:

(a) Incurrence of the general obligation debt will not result in a combined property tax rate in any of the overlapping entities within the county which exceeds the limit provided in [NRS 361.453](#);

(b) The proposal includes an agreement approved by the governing bodies of all affected municipalities within the area as to how the combined tax rates will be brought into compliance with the statutory limitation; or

(c) The commission adopts a plan that is approved by the Executive Director of the Department of Taxation pursuant to which the combined property tax rate will be in compliance with the statutory limitation.

Ê The approval of the commission pursuant to this subsection is effective for 18 months. The governing body of the municipality may renew that approval for successive periods of 18 months by filing an application for renewal with the commission. Such an application must be

accompanied by the information set forth in paragraph (b) of subsection 4 that is accurate as of the date the governing body files the application for renewal.

6. The commission may not approve a proposal pursuant to subsection 5 which, based upon the factors listed in subparagraphs (1) to (4), inclusive, of paragraph (b) of subsection 4, will affect the ability of an affected governmental entity to levy the maximum amount of property taxes that it may levy pursuant to [NRS 354.59811](#), unless:

(a) The proposal includes a resolution approving the proposal pursuant to subsection 3 of [NRS 350.0135](#) from each affected governmental entity whose ability to levy property taxes will be affected by the commission's approval of the proposal; or

(b) The commission has resolved all conflicts between the municipality and all affected governmental entities and has approved the increase in property taxes resulting from the proposal pursuant to [NRS 350.0135](#).

7. As used in this section, "affected governmental entity" has the meaning ascribed to it in subsection 9 of [NRS 350.0135](#).

(Added to NRS by [1965, 1434](#); A [1971, 524](#); [1977, 538](#); [1981, 943](#); [1991, 973](#); [1993, 2656](#); [1995, 309, 768](#); [1997, 2463](#); [1999, 3222](#); [2001, 881](#), [2306](#); [2003, 162](#); [2007, 432](#))

NRS 350.0145 Notice and submission of statement of certain proposals to commission; procedure for approval or disapproval.

1. The governing body of the municipality proposing to incur general obligation debt, to enter an installment-purchase agreement with a term of more than 10 years or to levy a special elective tax and the board of trustees of a general improvement district whose population within its boundaries is less than 5,000 who proposes to issue a medium-term obligation or otherwise borrow money and issue any securities other than securities representing a general obligation debt or installment-purchase agreements with terms of 10 years or less shall notify the secretary of each appropriate commission, and shall submit a statement of its proposal in sufficient number of copies for each member of the commission. The secretary, with the approval of the chair, shall, within 10 days, give notice of a meeting, in the manner required by [chapter 241](#) of NRS, to be held not more than 20 days thereafter. The secretary shall provide a copy of the proposal to each member with the notice of the meeting and mail notice of the meeting to the chief financial officer of each municipality in the county which has complied with subsection 1 of [NRS 350.013](#) within the past year.

2. The commission may grant a conditional or provisional approval of such proposal. Such conditions or provisions are limited to:

(a) The scheduling of:

(1) The issuance and retirement of securities, if the proposal is to incur general obligation debt; or

(2) The imposition of the tax, if the proposal is to levy a special elective tax; and

(b) If the proposal would result in a combined property tax rate in any of the overlapping entities within the county which exceeds 90 percent of the limit provided in [NRS 361.453](#), a condition requiring a reduction in the amount of the proposed debt, installment-purchase agreement or special elective tax.

3. If the proposal is from a municipality, the commission may not approve any portion of the proposal that is not included in the statement filed pursuant to paragraph (b) of subsection 1 of [NRS 350.013](#), as updated pursuant to subsection 3 or 4 of [NRS 350.013](#).

4. The commission may adjourn a meeting called to consider a particular proposal no more than once, for no more than 60 days, except that the commission must approve or disapprove a proposal at least 30 days before the date on which the governing body that submitted the proposal is required to provide the proposal to the county clerk or city clerk pursuant to [NRS 293.481](#). Notification of the approval or disapproval of its proposal must be sent to the governing body within 3 days after the meeting.

(Added to NRS by [1965, 1434](#); A [1971, 944](#); [1977, 538](#); [1981, 943](#); [1991, 973](#); [1993, 2657](#); [1995, 770](#); [2001, 883, 2308](#); [2005, 127](#))

NRS 350.015 Criteria for approval or disapproval of certain proposals; requests for information; use of money received from sale of general obligation debt or from special elective tax.

1. In determining whether to approve, conditionally or provisionally approve, or disapprove a proposal to incur debt, to enter an installment-purchase agreement with a term of more than 10 years or to levy a special elective tax, the commission shall not, except as otherwise provided in paragraph (d) and [NRS 350.0135](#), initiate a determination as to whether the proposed debt, installment-purchase agreement or special elective tax is sought to accomplish a public purpose or to satisfy a public need. The commission shall consider, but is not limited to, the following criteria:

(a) If the proposal is to incur debt, the amount of debt outstanding on the part of the municipality proposing to incur the debt.

(b) The effect of the tax levy required for debt service on the proposed debt or to repay an installment-purchase agreement with a term of more than 10 years, or of the proposed levy of a special elective tax, upon the ability of the municipality proposing to incur the general obligation debt, enter the installment-purchase agreement or levy the special elective tax and of other municipalities to raise revenue for operating purposes.

(c) The anticipated need for other incurrences of debt, installment-purchase agreements or levies of special elective taxes by the municipality proposing to incur the debt, enter the installment-purchase agreement or levy the special elective tax and other municipalities whose tax-levying powers overlap, as shown by the county or regional master plan, if any, and by other available information.

(d) If the information set forth in paragraph (b) of subsection 4 of [NRS 350.014](#) indicates that the proposal would result in a combined property tax rate in any of the overlapping entities within the county which exceeds the specified percentage, pursuant to subsection 1 of [NRS 350.0155](#), of the limit provided in [NRS 361.453](#):

(1) The public need to be served by the proceeds from the proposed debt or tax levy in accordance with the priorities established pursuant to subsection 2 of [NRS 350.0155](#); and

(2) A comparison of that public need and other public needs that appear on the statements of current and contemplated general obligation debt and special elective taxes submitted pursuant to paragraphs (a) and (b) of subsection 1 of [NRS 350.013](#) that may affect the combined property tax rate in any of the overlapping entities within the county.

2. The commission may make reasonable requests from a municipality for information relating to the criteria described in paragraphs (a) to (d), inclusive, of subsection 1. A municipality shall use its best efforts to comply with information requests from the commission in a timely manner.

3. If the commission approves the proposal, the amount received from the sale of the general obligation debt or from the special elective tax may be expended only for the purposes described in the proposal.

(Added to NRS by [1967, 1386](#); A [1977, 539](#); [1993, 2658](#); [1995, 770, 1959](#); [2001, 884, 2309](#))

NRS 350.0155 Commission to specify percentage of limitation on total ad valorem tax levy and establish priorities among essential and nonessential facilities and services for purposes of [NRS 350.015](#). At the annual meeting required by subsection 2 of [NRS 350.012](#), the commission shall:

1. Specify a percentage, which must not be less than 75 percent, for the purposes of paragraph (d) of subsection 1 of [NRS 350.015](#); and

2. Establish priorities among essential and nonessential facilities and services for the purposes of paragraph (d) of subsection 1 of [NRS 350.015](#). Facilities and services relating to

public safety, education and health must be considered essential facilities and services, and all other facilities and services must be considered nonessential facilities and services.

(Added to NRS by [2001, 878](#); A [2005, 128](#); [2025, 3184](#))

NRS 350.016 Evaluation of proposal: Power of commission to employ consultants; costs. The commission has the power, with the consent of the municipality which proposes to incur a debt or levy a special elective tax, to contract for or employ accountants and financial consultants to evaluate any proposal which it must approve or disapprove. The cost of such services must be paid by the consenting municipality which proposes to incur the debt or levy the special elective tax.

(Added to NRS by [1971, 942](#); A [1977, 539](#); [1993, 2658](#); [1995, 771](#))

NRS 350.0165 Applicability of [NRS 350.011](#) to [350.0165](#), inclusive. The provisions of [NRS 350.011](#) to [350.0165](#), inclusive, do not apply to:

1. Any general obligation debt incurred or special elective tax levied before July 1, 1995;
2. Any general obligation debt or special elective tax approved at an election held before July 1, 1995, whether or not the debt is incurred or tax is levied before that date;
3. Any general obligation debt authorized to be incurred, or special elective tax authorized to be levied, by a special act adopted and approved before July 1, 1995;
4. Any debt incurred for the purpose of refunding any outstanding general obligation debt; and
5. Any medium-term obligation, except a medium-term obligation issued after July 1, 2001, by a general improvement district whose population within its boundaries is less than 5,000.

(Added to NRS by [1965, 1434](#); A [1995, 771](#); [2001, 2310](#))

PROPOSALS TO ISSUE OBLIGATIONS

NRS 350.020 Use of general obligation only for stated purpose; submission to electors of proposal to issue general obligations; restrictions on special elections; issuance of general obligations secured by pledge of revenues and issuance of special or medium-term obligations without election; issuance of certain general obligation bonds by board of trustees of school district.

1. A general obligation issued or incurred pursuant to this section must be used only for the stated purpose for which the general obligation was originally issued or incurred and not for any other purpose. Except as otherwise provided by subsections 3 and 4, if a municipality proposes to issue or incur general obligations, the proposal must be submitted to the electors of the municipality at a special election called for that purpose or the next general municipal election or general state election.

2. Such a special election may be held:

(a) At any time, including, without limitation, on the date of a primary municipal election or a primary state election, if the governing body of the municipality determines, by a unanimous vote, that an emergency exists; or

(b) On the second Tuesday after the first Monday in June of an odd-numbered year, whether or not the municipality also holds a general municipal election on that date,

Ê except that the governing body shall not determine that an emergency exists if the special election is for the purpose of submitting to the electors a proposal to refund bonds. The determination made by the governing body is conclusive unless it is shown that the governing body acted with fraud, a gross abuse of discretion or in violation of the provisions of this subsection. An action to challenge the determination made by the governing body must be commenced within 15 days after the governing body's determination is final. As used in this subsection, "emergency" means any occurrence or combination of occurrences which requires

immediate action by the governing body of the municipality to prevent or mitigate a substantial financial loss to the municipality or to enable the governing body to provide an essential service to the residents of the municipality.

3. If payment of a general obligation of the municipality is additionally secured by a pledge of gross or net revenue of a project to be financed by its issue, and the governing body determines, by an affirmative vote of two-thirds of the members elected to the governing body, that the pledged revenue will at least equal the amount required in each year for the payment of interest and principal, without regard to any option reserved by the municipality for early redemption, the municipality may, after a public hearing, incur this general obligation without an election unless, within 90 days after publication of a resolution of intent to issue the bonds, a petition is presented to the governing body signed by not less than 5 percent of the registered voters of the municipality. Any member elected to the governing body whose authority to vote is limited by charter, statute or otherwise may vote on the determination required to be made by the governing body pursuant to this subsection. The determination by the governing body becomes conclusive on the last day for filing the petition. For the purpose of this subsection, the number of registered voters must be determined as of the close of registration for the last preceding general election. The resolution of intent need not be published in full, but the publication must include the amount of the obligation, the purpose for which it is to be incurred, the date by which the registered voters of the municipality must file a petition with the governing body to hold an election on the issuance of the obligation, the location at which the petition must be filed with the governing body and the location at which a person may obtain additional information regarding the contents of and filing requirements for the petition. Notice of the public hearing must be published at least three times, once each week for three consecutive weeks, in a newspaper of general circulation in the municipality. The third publication of the notice required by this subsection must be made at least 10 days before the date of the hearing. When published, the notice of the public hearing must be at least as large as 5 inches high by 4 inches wide.

4. The board of trustees of a school district may issue general obligation bonds which are not expected to result in an increase in the existing property tax levy for the payment of bonds of the school district without holding an election for each issuance of the bonds if the qualified electors approve a question submitted by the board of trustees that authorizes issuance of bonds for a period of 10 years after the date of approval by the voters. If the question is approved, the board of trustees of the school district may issue the bonds for a period of 10 years after the date of approval by the voters, after obtaining the approval of the debt management commission in the county in which the school district is located and, in a county whose population is 100,000 or more, the approval of the oversight panel for school facilities established pursuant to [NRS 393.092](#) in that county, if the board of trustees of the school district finds that the existing tax for debt service will at least equal the amount required to pay the principal and interest on the outstanding general obligations of the school district and the general obligations proposed to be issued. The finding made by the board of trustees is conclusive in the absence of fraud or gross abuse of discretion. As used in this subsection, "general obligations" does not include medium-term obligations issued pursuant to [NRS 350.087](#) to [350.095](#), inclusive.

5. At the time of issuance of bonds authorized pursuant to subsection 4, the board of trustees shall establish a reserve account in its debt service fund for payment of the outstanding bonds of the school district. The reserve account must be established and maintained in an amount at least equal to the lesser of:

(a) For a school district located in a county whose population is 100,000 or more, 25 percent; and

(b) For a school district located in a county whose population is less than 100,000, 50 percent,

Ê of the amount of principal and interest payments due on all of the outstanding bonds of the school district in the next fiscal year or 10 percent of the outstanding principal amount of the outstanding bonds of the school district.

6. If the amount in the reserve account falls below the amount required by subsection 5:

(a) The board of trustees shall not issue additional bonds pursuant to subsection 4 until the reserve account is restored to the level required by subsection 5; and

(b) The board of trustees shall apply all of the taxes levied by the school district for payment of bonds of the school district that are not needed for payment of the principal and interest on bonds of the school district in the current fiscal year to restore the reserve account to the level required pursuant to subsection 5.

7. A question presented to the voters pursuant to subsection 4 may authorize all or a portion of the revenue generated by the debt rate which is in excess of the amount required:

(a) For debt service in the current fiscal year;

(b) For other purposes related to the bonds by the instrument pursuant to which the bonds were issued; and

(c) To maintain the reserve account required pursuant to subsection 5,

Ê to be transferred to the county school district's fund for capital projects established pursuant to [NRS 387.328](#) and used to pay the cost of capital projects which can lawfully be paid from that fund. Any such transfer must not limit the ability of the school district to issue bonds during the period of voter authorization if the findings and approvals required by subsection 4 are obtained.

8. A municipality may issue special or medium-term obligations without an election.

[Part 2:70:1937; A [1956, 219](#)](NRS A [1959, 594; 1969, 1589; 1975, 862; 1981, 943; 1993, 1066; 1995, 217, 1812, 1960, 1961; 1997, 551, 1209, 2464, 2826; 1999, 610, 611, 1078, 3220, 3222, 3226, 3228; 2001, 232, 1348, 2310; 2003, 45; 2007, 2520; 2011, 149, 2905, 3341; 2015, 1884, 3840](#))

NRS 350.0201 First additional 10-year period for issuance of certain general obligation bonds by board of trustees of school district. If the voters approved a question that was submitted by a board of trustees of a school district in accordance with subsection 4 of [NRS 350.020](#) for authorization to issue general obligation bonds, regardless of whether such approval occurred more than 10 years before March 4, 2015:

1. Such approval shall be deemed to constitute approval of the qualified electors for the issuance of general obligation bonds by the board of trustees of the school district pursuant to subsection 4 of [NRS 350.020](#) for a period of 10 years commencing on March 4, 2015, if the question was approved by the voters more than 10 years before March 4, 2015, or otherwise commencing on the date of the expiration of the 10-year period approved by the voters in the question, and no other approval of the qualified electors is required for such issuance of general obligation bonds pursuant to the provisions of [NRS 350.020](#) by the board of trustees of the school district for that period.

2. During the 10-year period in which a board of trustees is authorized to issue bonds as provided in subsection 1, all or a portion of the revenue generated by the school district's property tax for debt service which is in excess of the amount required:

(a) For debt service in the current fiscal year;

(b) For other purposes related to the bonds by the instrument pursuant to which the bonds were issued; and

(c) To maintain the reserve account required pursuant to subsection 5 of [NRS 350.020](#),

Ê may be transferred by the board of trustees to the school district's fund for capital projects established pursuant to [NRS 387.328](#) and used to pay the cost of capital projects which can lawfully be paid from that fund. Any such transfer must not limit the ability of the school district to issue bonds if the findings and approvals required by subsection 4 of [NRS 350.020](#) are obtained.

(Added to NRS by [2015, 26, 28](#))

NRS 350.0203 Second additional 10-year period for issuance of certain general obligation bonds by board of trustees of school district. If the voters approved a question that was submitted by a board of trustees of a school district in accordance with subsection 4 of [NRS 350.020](#) for authorization to issue general obligation bonds, regardless of whether such approval occurred more than 10 years before March 4, 2025:

1. Such approval shall be deemed to constitute approval of the qualified electors for the issuance of general obligation bonds by the board of trustees of the school district pursuant to subsection 4 of [NRS 350.020](#) for a period of 10 years commencing on March 4, 2025, if the question was approved by the voters more than 10 years before March 4, 2025, or otherwise commencing on the date of the expiration of the 10-year period approved by the voters in the question, and no other approval of the qualified electors is required for such issuance of general obligation bonds pursuant to the provisions of [NRS 350.020](#) by the board of trustees of the school district for that period.

2. During the 10-year period in which a board of trustees is authorized to issue bonds as provided in subsection 1, all or a portion of the revenue generated by the school district's property tax for debt service which is in excess of the amount required:

(a) For debt service in the current fiscal year;

(b) For other purposes related to the bonds by the instrument pursuant to which the bonds were issued; and

(c) To maintain the reserve account required pursuant to subsection 5 of [NRS 350.020](#),
Ê may be transferred by the board of trustees to the school district's fund for capital projects established pursuant to [NRS 387.328](#) and used to pay the cost of capital projects which can lawfully be paid from that fund. Any such transfer must not limit the ability of the school district to issue bonds if the findings and approvals required by subsection 4 of [NRS 350.020](#) are obtained.

(Added to NRS by [2021, 3216](#))

NRS 350.0205 Committee on Local Government Finance to provide forms for submitting ballot question and examples of past ballot questions for issuance or incurrence of general obligations.

1. The Committee on Local Government Finance shall annually provide to each city clerk, county clerk and district attorney:

(a) Forms for submitting a ballot question to the electors of a municipality for the issuance or incurrence of general obligations as provided in subsection 1 of [NRS 350.020](#); and

(b) Examples of past ballot questions for the issuance or incurrence of general obligations.

2. The city clerk, county clerk or district attorney may make these forms and examples available to the general public.

(Added to NRS by [1999, 1078](#))

NRS 350.021 Proposal may be combined on ballot with proposal to levy tax ad valorem for related purpose. A proposal to issue or incur general obligations pursuant to [NRS 350.020](#) and a proposal to levy an additional tax ad valorem pursuant to [NRS 354.5982](#) for a purpose related to the purpose for which the general obligations are issued or incurred may be combined into a single proposition.

(Added to NRS by [1993, 65](#))

NRS 350.022 Notice of election on proposal to issue general obligations: Publication.

1. Whenever a municipality by ordinance or resolution, as the governing body may determine, has ordered that a proposal to issue or incur general obligations be submitted to the

voters at a special election or the next general municipal election or general state election, the clerk shall cause notice of the election to be published in a newspaper printed in and having a general circulation in the municipality once in each calendar week for 2 successive calendar weeks by two weekly insertions a week apart, the first publication to be not more than 30 days nor less than 22 days next preceding the date of the election.

2. If no newspaper is printed in the municipality, publication of the notice of election must be made in a newspaper printed in the State of Nevada and having a general circulation in the municipality.

(Added to NRS by [1965, 138](#); A [1969, 1590](#); [1971, 94](#); [1981, 944](#); [1993, 1067](#); [1999, 1081](#))

NRS 350.024 Contents of ballot question, sample ballot and notice of election on proposal to issue general obligations; consolidation of election with general, primary or municipal election; publication of notice of close of registration for special election.

1. The ballot question for a proposal submitted to the electors of a municipality pursuant to subsection 1 of [NRS 350.020](#) must contain the principal amount of the general obligations to be issued or incurred, the purpose of the issuance or incurrence of the general obligations and an estimate established by the governing body of:

(a) The duration of the levy of property tax that will be used to pay the general obligations; and

(b) The average annual increase, if any, in the amount of property taxes that an owner of a new home with a fair market value of \$100,000 will pay for debt service on the general obligations to be issued or incurred.

2. Except as otherwise provided in subsection 4, the sample ballot required to be distributed pursuant to [NRS 293.565](#) or [293C.530](#) and the notice of election must contain:

(a) The time and places of holding the election.

(b) The hours during the day in which the polls will be open, which must be the same as provided for general elections.

(c) The ballot question.

(d) The maximum amount of the obligations, including the anticipated interest, separately stating the total principal, the total anticipated interest and the anticipated interest rate.

(e) An estimate of the range of property tax rates stated in dollars and cents per \$100 of assessed value necessary to provide for debt service upon the obligations for the dates when they are to be redeemed. The municipality shall, for each such date, furnish an estimate of the assessed value of the property against which the obligations are to be issued or incurred, and the governing body shall estimate the tax rate based upon the assessed value of the property as given in the assessor's estimates.

3. If an operating or maintenance rate is proposed in conjunction with the question to issue obligations, the questions may be combined, but the sample ballot and notice of election must each state the tax rate required for the obligations separately from the rate proposed for operation and maintenance.

4. Any election called pursuant to [NRS 350.020](#) to [350.070](#), inclusive, may be consolidated with a primary or general municipal election or a primary or general state election. The notice of election need not set forth the places of holding the election, but may instead state that the places of holding the election will be the same as those provided for the election with which it is consolidated.

5. If the election is a special election, the clerk shall cause notice of the close of registration to be published in a newspaper printed in and having a general circulation in the municipality once in each calendar week for 2 successive calendar weeks next preceding the close of registration for the election.

(Added to NRS by [1965, 138](#); A [1969, 1590](#); [1971, 94](#); [1981, 945](#); [1983, 733](#); [1987, 23](#), [1469](#); [1993, 1067](#), [1419](#), [2659](#), [2661](#); [1995, 718](#); [1997, 1585](#), [3477](#); [1999, 679](#), [1081](#); [2015, 2647](#), [3180](#))

NRS 350.027 Sample ballot and notice of election on proposal to issue bonds or other securities to contain estimate of annual cost to operate, maintain and repair improvements to be constructed or acquired with proceeds of bonds or other securities.

1. In addition to any requirements imposed pursuant to [NRS 350.024](#), any sample ballot required to be distributed pursuant to [NRS 293.565](#) or [293C.530](#) and any notice of election, for an election that includes a proposal for the issuance by any municipality of any bonds or other securities, including an election that is not called pursuant to [NRS 350.020](#) to [350.070](#), inclusive, must contain an estimate of the annual cost to operate, maintain and repair any buildings, structures or other facilities or improvements to be constructed or acquired with the proceeds of the bonds or other securities.

2. For the purposes of this section, “municipality” has the meaning ascribed to it in [NRS 350.538](#).

(Added to NRS by [1993, 1418](#); A [1997, 3478](#); [2015, 2648, 3181](#))

NRS 350.030 Election on proposal to issue general obligations: Expenses; ballots; validity of proposal; applicability of general election laws.

1. If the election is not consolidated with another election, the municipality shall pay the expenses of conducting it. Any proposal to issue or incur general obligations may be submitted on the same ballot as otherwise used at a primary or general municipal election or primary or general state election or may be submitted by separate ballot, as the governing body may determine.

2. No defect in the statement of such a proposal other than in the statement of the maximum amount to be authorized invalidates the proposal.

3. The qualifications of voters, the manner of registration and voting, and the manner of counting the votes cast are governed by the general election laws insofar as those laws can reasonably be made applicable.

[Part 3:70:1937; A [1953, 322](#)](NRS A [1971, 95](#); [1981, 945](#); [1993, 1068](#))

NRS 350.070 Approval or disapproval by electors of proposal to issue general obligations: Procedure; validity of result.

1. If a majority of the electors voting on the question is in favor of the proposal submitted, the proposal is carried, and the proper officers of the municipality shall proceed to issue or incur the obligations proposed.

2. If the majority of the electors voting on the question is against the proposal submitted, the proposal fails, and the proper officers of the municipality shall proceed no further except to certify the result of the election to the proper officers of the governing body.

3. Except as otherwise specifically provided in [NRS 350.030](#), any informality, omission or defect in the giving of any notice or the conduct of the election does not affect the result of the election if it can be ascertained with reasonable certainty whether the proposal was approved or rejected by a majority of the registered voters voting on the question.

[Part 4:70:1937; A [1953, 322](#); [1955, 162](#)](NRS A [1959, 486](#); [1971, 97](#); [1981, 945](#))

MEDIUM-TERM OBLIGATIONS AND INSTALLMENT-PURCHASE AGREEMENTS

NRS 350.087 Resolution authorizing medium-term obligation or installment-purchase agreement: Adoption; contents; notice.

1. If the public interest requires a medium-term obligation or installment-purchase agreement, the governing body of any local government, by a resolution adopted by two-thirds of its members, may authorize a medium-term obligation or installment-purchase agreement. For the purposes of the issuance of a medium-term obligation pursuant to [NRS 280.266](#), a metropolitan police committee on fiscal affairs shall be deemed the governing body of a local government.

2. The resolution must contain:

(a) A finding by the governing body that the public interest requires the medium-term obligation or installment-purchase agreement;

(b) A statement of the facts upon which the finding required pursuant to paragraph (a) is based;

(c) A statement that identifies:

(1) Each source of revenue of the local government that is anticipated to be used to repay the medium-term obligation or installment-purchase agreement; and

(2) The dollar amount that is anticipated to be available to repay the medium-term obligation or installment-purchase agreement from each such source; and

(d) If the resolution is for an installment-purchase agreement with a term of more than 10 years:

(1) A statement comparing the cost of installment-purchase financing with other available methods of financing, including, without limitation, financing with general obligation bonds or revenue bonds; and

(2) If such statement concludes that installment-purchase financing is more expensive than other available methods of financing, a statement explaining the reasons for choosing installment-purchase financing instead of a less expensive alternative.

3. Except as otherwise provided in subsection 4, before the adoption of any such resolution, the governing body shall publish notice of its intention to act thereon in a newspaper of general circulation for at least one publication. No vote may be taken upon the resolution until 10 days after the publication of the notice. The cost of publication of the notice required of an entity is a proper charge against its general fund.

4. If such a resolution will be adopted by a metropolitan police committee on fiscal affairs, the sheriff of the county in which the metropolitan police department is located shall publish the notice required pursuant to subsection 3.

(Added to NRS by [1995, 1810](#); A [1997, 1295](#); [1999, 275](#); [2001, 2312](#))

NRS 350.089 Approval of resolution for medium-term obligation or installment-purchase agreement by Executive Director of Department of Taxation; appeal to Nevada Tax Commission. Except as otherwise provided in [NRS 280.266](#) and [496.155](#):

1. Upon the adoption by a local government of a resolution for a medium-term obligation or installment-purchase agreement, as provided in [NRS 350.087](#), a certified copy thereof must be forwarded to the Executive Director of the Department of Taxation. As soon as is practicable, the Executive Director of the Department of Taxation shall, after consideration of the tax structure of the local government concerned, the probable ability of the local government to repay the requested medium-term obligation or installment-purchase agreement and the compliance of the local government with the applicable provisions of law, including, without limitation, the provisions of [chapter 354](#) of NRS, approve or disapprove the resolution in writing to the governing board. No such resolution is effective until approved by the Executive Director of the Department of Taxation. The written approval of the Executive Director of the Department of Taxation must be recorded in the minutes of the governing board.

2. If the Executive Director of the Department of Taxation does not approve the resolution for the medium-term obligation or installment-purchase agreement, the governing board of the local government may appeal the Executive Director's decision to the Nevada Tax Commission.

(Added to NRS by [1995, 1810](#); A [1997, 1295](#); [1999, 276](#); [2001, 2312](#))

NRS 350.091 Governing body to update plan for capital improvement under certain circumstances; issuance and terms of evidence of medium-term obligation or

installment-purchase agreement; regulations; applicability of prevailing wage requirements to certain lease-purchase or installment-purchase agreements.

1. Whenever the governing body of any local government is authorized to enter into a medium-term obligation or installment-purchase agreement as provided in [NRS 280.266](#) or [350.089](#) that is intended to finance a capital project, the governing body shall update its plan for capital improvement in the same manner as is required for general obligation debt pursuant to [NRS 350.013](#).

2. Whenever the governing body of any local government is authorized to enter into a medium-term obligation as provided in [NRS 350.089](#), the governing body may issue, as evidence thereof, negotiable notes or medium-term negotiable bonds that, except as otherwise provided in subsection 5 of [NRS 496.155](#):

(a) Must mature not later than 10 years after the date of issuance;

(b) Must bear interest at a rate or rates which do not exceed by more than 3 percent the Index of Twenty Bonds which was most recently published before the bids are received or a negotiated offer is accepted; and

(c) May, at the option of the local government, contain a provision which allows redemption of the notes or bonds before maturity, upon such terms as the governing body determines.

3. Whenever the governing body of any local government is authorized to enter into an installment-purchase agreement as provided in [NRS 280.266](#) or [350.089](#), the governing body may issue, as evidence thereof, an installment-purchase agreement, lease or other evidence of a transaction described in [NRS 350.800](#). An installment-purchase agreement, lease or other evidence of a transaction described in [NRS 350.800](#) issued pursuant to this subsection:

(a) Must have a term that is 30 years or less;

(b) Must bear interest at a rate or rates that do not exceed by more than 3 percent the Index of Revenue Bonds which was most recently published before the local government enters into the installment-purchase agreement; and

(c) May, at the option of the local government, contain a provision that allows prepayment of the purchase price upon such terms as are provided in the agreement.

4. If the term of the medium-term obligation or installment-purchase agreement is more than 5 years, the weighted average term of the medium-term obligation or installment-purchase agreement may not exceed the estimated weighted average useful life of the assets being financed with the medium-term obligation or installment-purchase agreement. For the purposes of this subsection, the Committee on Local Government Finance may adopt regulations that provide guidelines for the useful life of various types of assets and for calculation of the weighted average useful life of assets.

5. If a lease-purchase or installment-purchase agreement pursuant to [NRS 280.266](#) or [350.089](#) involves the construction, alteration, repair or remodeling of an improvement:

(a) The person or entity that executes one or more contracts or agreements for the actual construction, alteration, repair or remodeling of the improvement shall include in such a contract or agreement the contractual provisions and stipulations that are required to be included in a contract for a public work pursuant to the provisions of [NRS 338.013](#) to [338.090](#), inclusive.

(b) The governing body, the contractor who is awarded the contract or entered into the agreement to perform the construction, alteration, repair or remodeling of the improvement and any subcontractor on the project shall comply with the provisions of [NRS 338.013](#) to [338.090](#), inclusive, in the same manner as if the governing body had undertaken the project or had awarded the contract.

(Added to NRS by [1995, 1810](#); A [1997, 1296](#); [1999, 276](#); [2001, 2313](#); [2009, 2070](#))

NRS 350.093 Limitations on transfer of money for medium-term obligation; refund of transfer.

1. After a medium-term obligation has been authorized as provided in [NRS 350.089](#) and if, in the judgment of the governing board of the local government, the fiscal affairs of the local government can be carried on without impairment and there is sufficient money in the general fund or a surplus in any other fund, with the exception of the bond interest and redemption fund, of the local government, the governing board may transfer from the general fund or from the surplus appearing in any fund, with the exception of the bond interest and redemption fund, money sufficient to meet the purpose of the medium-term obligation.

2. When such a transfer is made, the governing board of the local government shall comply with the provisions of [NRS 350.095](#), and when the special tax is thereafter collected, the amount so collected must be placed immediately in the fund from which the loan was made.

3. In cases where the fund from which the loan was made, at the time of the transfer of funds therefrom, contains a surplus that in the judgment of the Executive Director of the Department of Taxation is or will not be needed for the purposes of the fund in the ordinary course of events, the special tax need not be levied, collected and placed in the fund from which the loan was made, but the transfer shall be deemed refunded for all purposes of [NRS 350.087](#) to [350.095](#), inclusive.

(Added to NRS by [1995, 1811](#); A [1999, 277](#); [2001, 2314](#))

NRS 350.095 Levy of special tax; transfer of money remaining in fund.

1. At the first tax levy following the creation of any medium-term indebtedness, the governing board of any local government shall, if necessary, levy a tax sufficient to pay the medium-term indebtedness. The tax must be designated "County of Special Tax," "City of Special Tax," "Town of Special Tax," "..... School District Special Tax," "..... Agricultural Association Special Tax," or "..... District Special Tax," as the case may be, the proceeds of which must be placed in a medium-term debt service fund in the treasury of the county or city, or in a medium-term debt service fund in the county treasury in the cases of towns, school districts, irrigation districts, special districts or agricultural associations, to be used solely to redeem the medium-term indebtedness for which the tax is levied.

2. The treasurer of any county is authorized, upon receipt of a written resolution of the governing board of any local government for which a special tax fund is maintained, to transfer the money remaining in the medium-term debt service fund of that local government to the general fund of that local government after payment in full of the indebtedness and the interest thereon.

(Added to NRS by [1995, 1811](#))

SALE OF BONDS BY COMPETITIVE BID OR NEGOTIATED SALE

NRS 350.105 Definitions. As used in [NRS 350.105](#) to [350.195](#), inclusive, unless the context otherwise requires, the words and terms defined in [NRS 350.115](#) to [350.145](#), inclusive, have the meanings ascribed to them in those sections.

(Added to NRS by [1995, 1018](#))

NRS 350.115 "Bond" defined. "Bond" means any evidence of borrowing by a municipality that is issued pursuant to the provisions of this chapter or [chapter 244, 244A, 268, 269, 271, 318, 318A](#) or [387](#) of NRS, whether general or special obligations, including, without limitation, bonds, notes, debentures, warrants and certificates.

(Added to NRS by [1995, 1018](#); A [2001, 2314](#); [2017, 2721](#))

NRS 350.125 “Competitive bid” defined. “Competitive bid” means the procedure for the sale of bonds by a municipality to one or more purchasers determined by the municipality to have offered the best price and interest rate.

(Added to NRS by [1995, 1018](#))

NRS 350.135 “Financial adviser” defined. “Financial adviser” means a financial consulting firm whose employees have experience in advising municipalities relating to the issuance of debt instruments, and which, except for its consulting relationship with the municipality, is not under the control of the municipality.

(Added to NRS by [1995, 1019](#))

NRS 350.145 “Negotiated sale” defined. “Negotiated sale” means the procedure for the sale of bonds by a municipality to one or more purchasers selected pursuant to [NRS 350.175](#) and [350.185](#) upon such terms as are agreed upon after the selection of the purchaser.

(Added to NRS by [1995, 1019](#))

NRS 350.155 Sale by competitive bid: Requirements; exceptions; contents of certificate required for certain bonds; filing and approval of certificate; publication of invitation for competitive bids.

1. Except as otherwise provided in subsection 2, a municipality shall sell the bonds it issues by competitive bid if the credit rating for the bonds or any other bonds of the municipality with the same security, determined without regard to insurance for the bonds or any other independent enhancement of credit, is rated by a nationally recognized rating service as “A-,” “A,” “AA,” “AAA,” or their equivalents, 90 days before and on the day the bonds are sold and:

(a) The bonds are general obligation bonds;

(b) The primary security for the bonds is an excise tax; or

(c) The bonds are issued pursuant to [chapter 271](#) of NRS and are secured by a pledge of the taxing power and the general fund of the municipality.

2. The provisions of subsection 1 and [NRS 350.175](#) and [350.185](#) do not apply to:

(a) Any bond which is issued with a variable rate of interest.

(b) A bond issue whose principal amount is \$1,000,000 or less.

(c) A bond issue with a term of 3 years or less.

(d) A bond issue for which an invitation for competitive bids was issued and for which no bids were received or all bids were rejected.

(e) Leases, contracts for purchase by installment and certificates of participation if the obligations of the municipality thereunder will terminate when the municipality fails to appropriate money to pay that obligation for the next fiscal year.

(f) Economic development revenue bonds issued pursuant to the city economic development revenue bond law or the county economic development revenue bond law.

(g) Bonds sold by the municipality to:

(1) The United States or any agency or instrumentality thereof;

(2) The State of Nevada;

(3) Any other municipality; or

(4) Not more than 10 investors, each of whom certifies that he or she:

(I) Has a net worth of \$500,000 or more; and

(II) Is purchasing for investment and not for resale.

(h) Bonds which require unusual methods of financing, if the chief administrative officer of the municipality certifies in writing that the proposed method of financing:

(1) Has not been used previously by any municipality in this state; and

(2) May provide a substantial benefit to the municipality.

(i) Refunding bonds, if the chief administrative officer of the municipality certifies in writing that the use of a negotiated sale may provide a substantial benefit to the municipality which would not be available if the bonds were sold by competitive bid.

(j) Bonds which are sold at a time when, because of particular conditions in the market, a negotiated sale may provide a benefit to the municipality which would not be available if the bonds were sold by competitive bid, if the chief administrative officer of the municipality so certifies in writing.

(k) Bonds which are issued pursuant to [chapter 271](#) of NRS and are not secured by a pledge of the taxing power and general fund of the municipality.

(l) Revenue bonds which are issued pursuant to [chapter 350A](#) of NRS and are secured by a pledge of the allocable local revenues of the municipality.

3. The certificate required by paragraph (h) of subsection 2 must specifically describe the proposed method of financing. The certificate required by paragraph (i) of subsection 2 must specifically describe the circumstances that may provide a substantial benefit if the refunding bonds are negotiated. The certificate required by paragraph (j) of subsection 2 must specifically describe the particular conditions in the market which indicate that a negotiated sale of the bonds may provide a benefit to the municipality. Each certificate required pursuant to subsection 2 must be submitted to the governing body of the municipality at a regularly scheduled meeting of that body and include:

(a) The estimated amount of the benefit which will accrue to the municipality.

(b) If the municipality has a financial adviser, a written report prepared by that financial adviser which specifically describes the method of sale which will be used for the proposed financing.

4. A copy of:

(a) The certificate required by paragraph (h), (i) or (j) of subsection 2; and

(b) The report required pursuant to subsection 3,

Ê must be filed with the debt management commission of the county where the municipality is located, the county clerk and the Department of Taxation. Before entering into a contract to sell bonds, at least two-thirds of the members of the governing body of the municipality must approve the certificate.

5. If a municipality is required to sell the bonds it issues by competitive bid pursuant to the provisions of this section, it must cause an invitation for competitive bids, or notice thereof, to be published before the date of the sale in the daily or weekly version of the Bond Buyer, published at One State Street Plaza in New York City, New York, or any successor publication.

6. As used in this section, "invitation for competitive bids" means a process by which sealed bids or the reasonable equivalent thereof, as approved by the governing body of a municipality, are solicited, received and publicly opened at a specified time, place and date.

(Added to NRS by [1995, 1019](#); A [1997, 514](#); [2009, 3065](#); [2013, 3584](#))

NRS 350.165 Delegation of authority to sign contract to purchase or accept binding bid for bonds; approval of certain terms by governing body required.

1. The governing body of a municipality may, before any sale of bonds, whether by competitive bid or negotiated sale, delegate to the chief administrative officer or chief financial officer of the municipality or, if the bonds consist of any securities to which subsection 1 of [NRS 350.583](#) applies, a designated agent, the authority to sign a contract for the purchase of the bonds or to accept a binding bid for the bonds subject to the requirements specified by the governing body concerning:

(a) The rate of interest on the bonds;

(b) The dates on which and the prices at which the bonds may be called for redemption before maturity;

(c) The price at which the bonds will be sold; and

(d) The principal amount of the bonds and the amount of principal maturing in any particular year.

2. All terms of the bonds other than:

(a) The rate of interest;

(b) The dates and prices for the redemption of the bonds;

(c) The price for the sale of the bonds;

(d) The principal amount of the bonds; and

(e) The requirements for the principal maturing in particular years,

Ê must be approved by the governing body of the municipality before the bonds are delivered.

3. The final rate of interest, dates and prices of redemption, price for the sale of the bonds, principal amount and the requirements for the principal amount maturing in particular years are not required to be approved by the governing body of the municipality if each of those terms complies with the requirements specified by the governing body before the contract for the purchase of the bonds is signed or the bid for the bonds is accepted.

(Added to NRS by [1995, 1020](#); A [2007, 434](#))

NRS 350.175 Negotiated sale: Notice of request for proposals; description of procedure for request for proposals in debt management policy; time limitation on sale of bonds after selection of underwriter.

1. If a municipality wishes to sell its bonds by a negotiated sale, it shall provide notice of the request for proposals in a manner that ensures that a reasonable number of underwriters for the size of the bond issue are notified of the request. The governing body of the municipality shall approve the notice.

2. The procedure for a request for proposals established by a municipality, including any requirement relating to:

(a) The rotation of the managing underwriters; and

(b) The municipality's policy of equal opportunity concerning the selection of underwriters,

Ê must be described in the written statement of the debt management policy of the municipality.

3. A municipality may negotiate the sale of the bonds described in the request for proposals with the underwriter it selects for not more than 6 years after the date of the selection of that underwriter. If bonds are not described in the request for proposals or if a negotiated sale occurs more than 6 years after the selection of an underwriter, the municipality shall request proposals from underwriters pursuant to subsection 1 before it selects an underwriter for that negotiated sale.

4. As used in this section, "request for proposals" means a statement which requests that prospective underwriters submit proposals to the municipality to provide underwriting services for the negotiated sale.

(Added to NRS by [1995, 1021](#))

NRS 350.185 Negotiated sale: Procedure for selection of proposal for sale of bonds; certification of procedure.

1. The governing body of a municipality which sells bonds by a negotiated sale shall establish a procedure for the selection of a proposal for the sale of the bonds. The procedure must include a consideration of:

(a) The ability and experience of the responding underwriter in the underwriting of bonds sold by competitive bid or negotiated sale;

(b) The degree to which the proposal of the responding underwriter meets the needs of the municipality and minimizes the risk and cost to the municipality;

(c) An estimation of any fees or other elements of the gross spread between the price paid to the municipality for the bonds and the price at which the bonds are sold to investors;

(d) Any other fees, charges or commissions which the municipality will be required to pay in connection with the issuance of the bonds; and

(e) Any fees paid by the underwriter to persons who are not employees of the underwriter to obtain business from the municipality.

2. The chief administrative officer of the municipality shall certify that the procedure for selecting a proposal for the negotiated sale pursuant to [NRS 350.175](#) was conducted in an open and fair manner.

(Added to NRS by [1995, 1021](#))

NRS 350.195 Financial adviser: Prohibited acts. A financial adviser who provides any report required pursuant to [NRS 350.105](#) to [350.195](#), inclusive, must not:

1. Be;
2. Control;
3. Be controlled by; or
4. Be under common control with,

Ê an underwriter for the bonds if those bonds are sold at a negotiated sale.

(Added to NRS by [1995, 1022](#))

INTEREST RATES; DISCOUNTS; LIMITATION ON ISSUANCE OR SALE

NRS 350.201 Definitions. As used in [NRS 350.201](#) to [350.2013](#), inclusive:

1. “Par” means the principal amount of a security plus the accrued interest thereon from the date of the bonds to the date of delivery and full payment.

2. “Political subdivision” includes without limitation a county, city, town, school district or special district.

3. “Security” means a bond or other evidence of indebtedness.

(Added to NRS by [1967, 219](#))

NRS 350.2011 Maximum rate of interest on securities of political subdivisions.

1. Except as otherwise provided in this section and [NRS 99.067](#), and except where the provisions, whenever enacted, of a general or special law or of a special charter otherwise require, the rate or rates of interest on securities issued by a political subdivision of this state must not exceed by more than 3 percent:

(a) For general obligations, the Index of Twenty Bonds; and

(b) For special obligations, the Index of Revenue Bonds,

Ê which was most recently published before the bids are received or a negotiated offer is accepted.

2. The rate or rates of interest on securities issued in whole or in part to finance the costs of a program established pursuant to [NRS 244.3651](#) must not exceed by more than 2 percent the rate or rates of interest set forth in subsection 1.

(Added to NRS by [1967, 219](#); A [1969, 1291](#); [1971, 2115](#); [1975, 863](#); [1981, 1403](#); [1983, 574](#); [2009, 2659](#); [2011, 659](#))

NRS 350.2012 Discounts. Except where the provisions, whenever enacted, of a general or special law or of a special charter otherwise require, securities issued by a political subdivision of this state may be sold at par, above par or below par at a discount of not more than 9 percent of the principal amount, but the effective interest rate must not exceed the limit provided in [NRS 350.2011](#).

(Added to NRS by [1967, 219](#); A [1969, 1291](#); [1971, 2115](#); [1975, 863](#); [1981, 1403](#); [1983, 574](#))

NRS 350.2013 Issuance or sale more than 6 years after date of election prohibited; exception. Except as otherwise provided in subsection 4 of [NRS 350.020](#), no security may be issued or sold by a political subdivision of this state after the expiration of 6 years from the date of the election authorizing such issue, if an election is required by any law whenever enacted.

(Added to NRS by [1967, 219](#); A [1997, 2466](#); [1999, 3222](#))

COUNTY DEBT SERVICE FUND

NRS 350.202 County ordinance may provide for service of bonded indebtedness for general obligations through single debt service fund; consolidated levy of taxes. Notwithstanding the provisions of any special law authorizing the issuance of bonds or any covenant contained in any bond, the board of county commissioners of any county may provide by ordinance for the service of all general obligation bonded indebtedness of the county through a single debt service fund in the county treasury and a consolidated levy of taxes.

(Added to NRS by [1965, 650](#))

NRS 350.204 Merger of sinking and other debt service funds into single fund. Such ordinance shall provide that upon the first day of the ensuing fiscal year, all sinking funds or other debt service funds however denominated which have been established by statute or pursuant to covenant for general obligation indebtedness shall be merged into a single fund.

(Added to NRS by [1965, 650](#))

NRS 350.206 Sufficiency of levy of taxes. Each levy of taxes made after the enactment of such an ordinance shall include an amount for debt service sufficient to meet all general obligation interest requirements of the fiscal year for which the levy is made and to retire all bonds scheduled for retirement during that year.

(Added to NRS by [1965, 651](#))

NRS 350.208 Obligation of bond not impaired. The provisions of [NRS 350.202](#), [350.204](#) and [350.206](#) do not in any way impair the obligation of any bond issued prior to April 3, 1965, or postpone the due date of any installment of interest or payment of principal.

(Added to NRS by [1965, 651](#))

WATER AND SEWER REVENUE BOND LAW

NRS 350.350 Short title. [NRS 350.350](#) to [350.490](#), inclusive, may be cited as the Water and Sewer Revenue Bond Law.

[1:109:1937; A [1949, 205](#); 1943 NCL § 1397.01]

NRS 350.360 Definitions. Wherever used in [NRS 350.350](#) to [350.490](#), inclusive, unless a different meaning clearly appears from the context:

1. "Governing body" means the board of county commissioners, city council, city commission, board of supervisors, town council, town board, board of directors or board of

trustees of a district, or other local legislative body of a municipality.

2. “Undertaking” includes the following revenue-producing undertakings or any combination of two or more of such undertakings, whether now existing or hereafter acquired or constructed: Systems, plants, works, instrumentalities and properties used or useful in connection with:

(a) The obtaining of a water supply and the conservation, treatment and disposal of water for public and private uses.

(b) The collection, treatment and disposal of sewage, waste and storm water, together with all parts of any such undertaking and all appurtenances thereto, including lands, easements, rights in land, water rights, contract rights, franchises, approaches, dams, reservoirs, sewage disposal plants, intercepting sewers, trunk, connection and other sewer and water mains, filtration works, pumping stations and equipment.

[2:109:1937; A [1949, 205](#); 1943 NCL § 1397.02]—(NRS A [1969, 1591](#); [1981, 946](#))

NRS 350.370 Additional powers of municipality under [NRS 350.350](#) to [350.490](#), inclusive. In addition to the powers which it may now have, any municipality shall, subject to the limitation stated in this section, have power under [NRS 350.350](#) to [350.490](#), inclusive:

1. To acquire by gift, purchase or the exercise of the right of eminent domain, to construct, to reconstruct, to improve, to better and to extend any undertaking, wholly within or wholly without the municipality, or partially within and partially without the municipality, and to acquire by gift, purchase or the exercise of the right of eminent domain, lands, easements, rights in lands and water rights in connection therewith.

2. To operate and maintain any undertaking for its own use and for the use of public and private consumers, and users within and without the territorial boundaries of the municipality.

3. To prescribe, revise and collect rates, fees, tolls or charges for the services, facilities or commodities furnished by such undertaking, and, in anticipation of the collection of the revenues of such undertaking, to issue revenue bonds to finance in whole or in part the cost of the acquisition, construction, reconstruction, improvement, betterment or extension of any undertaking.

4. To pledge to the punctual payment of the bonds and interest thereon all or any part of the revenues of such undertaking (including the revenues of improvements, betterments or extension thereto thereafter constructed or acquired, as well as the revenues of existing systems, plants, works, instrumentalities and properties of the undertaking so improved, bettered or extended) or of any part of such undertaking.

5. When determined by its governing body to be in the public interest and necessary for the protection of the public health, to enter into and perform contracts, whether long-term or short-term, with any industrial or mining establishment for the provision and operation by the municipality of sewage facilities to abate or reduce the pollution of water caused by discharges of industrial or mining waste by the industrial or mining establishment and the payment periodically by the industrial or mining establishment to the municipality of amounts at least sufficient, in the determination of such governing body, to compensate the municipality for the cost of providing (including payment of principal and interest charges, if any) and of operating and maintaining the sewerage facilities serving such industrial or mining establishment.

6. Notwithstanding any provision of [NRS 350.350](#) to [350.490](#), inclusive, to the contrary or in conflict herewith, to accept contributions or loans from the United States of America or any department, instrumentality or agency thereof, for the purpose of financing or aiding in financing the cost of preliminary investigations and studies, surveys, plans and specifications, procedures and other action preliminary to construction, and the construction, maintenance and operation of any undertaking.

7. To make all contracts, execute all instruments and do all things necessary or convenient in the exercise of the powers herein granted or in the performance of its covenants or duties or in order to secure the payment of its bonds; provided:

(a) No encumbrance, mortgage or other pledge of property of the municipality is created thereby;

(b) No property of the municipality is liable to be forfeited or taken in payment of the bonds; and

(c) No debt on the credit of the municipality is thereby incurred in any manner for any purpose.

[3:109:1937; A [1949, 205](#); 1943 NCL § 1397.03]

NRS 350.373 Supplemental powers of municipality to prescribe, revise and collect charges; expenses of collection. In supplementation of the provisions of subsection 3 of [NRS 350.370](#) and elsewhere in the Water and Sewer Revenue Bond Law, any municipality at any time and under any circumstances:

1. May prescribe, revise and collect minimum charges, connection charges, charges for availability of service, legal and other expenses of the collection of delinquencies and penalties appertaining thereto;

2. May enforce the collection of any delinquencies by civil action or by any other means then provided by law; and

3. May otherwise prescribe, revise and collect in advance or otherwise from any owner or occupant of real property served directly or indirectly by any undertaking, or otherwise, rates, fees, tolls and charges for the services, facilities or commodities furnished by the undertaking, or any combination thereof, as the governing body may determine from time to time.

(Added to NRS by [1967, 672](#))

NRS 350.375 Use of revenues derived from undertaking of municipality. Subject to any pledges and other contractual limitations appertaining to revenues derived from the operation of any undertaking of a municipality, such revenues may be used from time to time for the following purposes, or any combination thereof, and in such priority, as the governing body may determine:

1. For the payment of operation and maintenance expenses of any undertaking;

2. For the payment of the costs of extensions of and improvements to any undertaking, including without limitation extraordinary repairs and replacements not constituting maintenance expenses;

3. For the payment of any other costs of constructing, otherwise acquiring, operating, maintaining, extending and improving any properties appertaining to water supply, water acquisition, treatment and distribution facilities, sewage, sanitary sewer collection and disposal facilities, storm waters, and storm water collection and disposal facilities, and incidental costs relating thereto, and the payment of any outstanding bonds and any other outstanding securities issued for any one, all or any combination of such purposes by the municipality pursuant to the Water and Sewer Revenue Bond Law or to any other law, and constituting general obligations, special obligations, or otherwise, and regardless of whether such payment is secured solely, additionally, or at all by a pledge of such revenues, as to the principal of, any interest on, and any prior redemption premiums due in connection with, such bonds and other securities, and any paying agent charges and other incidental expenses appertaining thereto, including without limitation any costs of issuing such securities, as the same become due;

4. For the accumulation of reserves for any one, all or any combination of the purposes stated above in this section; and

5. For the payment of any other expenses of the municipality, regardless of whether or not they appertain to an undertaking.

(Added to NRS by [1967, 672](#))

NRS 350.380 Undertaking and issuance of bonds: Procedure. The acquisition, construction, reconstruction, improvement, betterment or extension of any undertaking and the issuance, in anticipation of the collection of the revenues of such undertaking, of bonds to provide funds to pay the cost thereof may be authorized under [NRS 350.350](#) to [350.490](#), inclusive, by ordinance or resolution of the governing body, which may be adopted at a regular meeting by a vote of a majority of the members elected to the governing body.

[4:109:1937; 1931 NCL § 1397.04]—(NRS A [1959, 486](#); [1969, 1592](#); [1975, 864](#); [1981, 947](#))

NRS 350.400 Sale of bonds. The bonds shall be sold as provided in the Local Government Securities Law.

[Part 5:109:1937; A [1949, 205](#); 1943 NCL § 1397.05]—(NRS A [1967, 221](#); [1969, 1592](#); [1975, 864](#))

NRS 350.490 Powers conferred in [NRS 350.350](#) to [350.490](#), inclusive, additional and supplemental; controlling provisions.

1. The powers conferred by [NRS 350.350](#) to [350.490](#), inclusive, shall be in addition and supplemental to, and not in substitution for, and the limitations imposed by [NRS 350.350](#) to [350.490](#), inclusive, shall not affect, the powers conferred by any other general or special law or charter, including, without limitation, the Local Government Securities Law.

2. The undertaking may be acquired, purchased, constructed, reconstructed, improved, bettered and extended, notwithstanding that any special or general law or local charter may provide for the acquisition, purchase, construction, reconstruction, improvement, betterment and extension of a like undertaking and without regard to the requirement, restrictions, debt or other limitations or other provisions contained in any other general or special law or charter, including, but not limited to, any restriction or limitation on the incurring of indebtedness or the issuance of bonds.

3. Insofar as the provisions of [NRS 350.350](#) to [350.490](#), inclusive, are inconsistent with the provisions of any other general or special law or charter, the provisions of [NRS 350.350](#) to [350.490](#), inclusive, shall be controlling, except as otherwise provided in [NRS 350.350](#) to [350.490](#), inclusive; but the provisions of the Local Government Securities Law are supplemental to [NRS 350.350](#) to [350.490](#), inclusive, to the extent the Local Government Securities Law pertains to revenue bonds and other special obligations.

[11:109:1937; 1931 NCL § 1397.11]—(NRS A [1975, 864](#))

VIOLATION OF BOND COVENANTS

NRS 350.495 Willful violation of covenant in securities by member of governing body, officer or agent of municipality unlawful; penalty.

1. Any member of the governing body and any officer or other agent of a municipality which has issued any bonds or municipal securities who willfully violates any covenant or provision contained in any such indentures or other instruments or proceedings appertaining thereto is guilty of a misdemeanor.

2. A violation of a covenant existing on July 1, 1969, is not “willful” for the purpose of this section if compliance is impractical because of competition from a private enterprise or enterpriser offering a comparable service.

(Added to NRS by [1969, 1088](#))

LOCAL GOVERNMENT SECURITIES LAW

NRS 350.500 Short title. [NRS 350.500](#) to [350.720](#), inclusive, may be cited as the Local Government Securities Law.

(Added to NRS by [1967, 421](#); A [1985, 2089, 2179](#); [1993, 1984](#))

NRS 350.502 Purpose; supplemental nature. It is the purpose of the Local Government Securities Law to provide a procedure for financing any projects otherwise authorized by law (other than by the levy and collection of special assessments) and for the issuance of securities to evidence or reevidence obligations incurred in connection with any such projects. The Local Government Securities Law is supplemental in nature, and nothing herein contained shall be construed as authorizing any particular project nor as authorizing the incurrence of any obligations to defray the cost of any project.

(Added to NRS by [1967, 421](#))

NRS 350.504 Definitions. As used in this chapter and in any instrument or document appertaining thereto, unless the context otherwise requires, the words and terms defined in [NRS 350.506](#) to [350.566](#), inclusive, have the meanings ascribed to them in those sections.

(Added to NRS by [1967, 421](#); A [1981, 947](#); [1985, 2179](#); [1987, 559](#))

NRS 350.506 “Acquisition” and “acquire” defined. “Acquisition” or “acquire” includes the opening, laying out, establishment, purchase, construction, securing, installation, reconstruction, lease, gift, grant from the Federal Government, this state, any public body therein, or any person, the endowment, bequest, devise, condemnation, transfer, assignment, option to purchase, other contract, or other acquirement, or any combination thereof, of any properties pertaining to a project, or an interest therein.

(Added to NRS by [1967, 421](#); A [1967, 943](#))

NRS 350.508 “Chair” and “chair of the municipality” defined. “Chair” or “chair of the municipality” or any phrase of similar import means the de facto or de jure chair of the board of county commissioners, mayor of the city or town, president of the board of trustees of the school district, chair of the board of directors of any other type district, or the president thereof, or any other presiding officer or titular head of the municipality, or his or her successor in functions, if any.

(Added to NRS by [1967, 421](#))

NRS 350.510 “Clerk” defined. “Clerk” means the de facto or de jure county clerk, city clerk, town clerk, clerk of the board of trustees of the school district, secretary or clerk of the board of directors of any other type district, or other officer of the municipality who is the custodian of any seal of the municipality and of the records of the proceedings of the municipality’s governing body, or his or her successor in functions, if any.

(Added to NRS by [1967, 422](#))

NRS 350.512 “Commercial bank” defined. “Commercial bank” means:

1. A state or national bank or trust company that is a member of the Federal Deposit Insurance Corporation, including, without limitation, a branch of the Federal Reserve Bank.
2. A credit union whose deposits are insured by the National Credit Union Share Insurance Fund or by a private insurer approved pursuant to [NRS 672.755](#).

(Added to NRS by [1967, 422](#); A [1999, 1473](#))

NRS 350.514 “Condemnation” and “condemn” defined. “Condemnation” or “condemn” means the acquisition by the exercise of the power of eminent domain of property for any project, or an interest therein, herein designated.

(Added to NRS by [1967, 422](#); A [1985, 278](#))

NRS 350.516 “Cost of any project” defined. “Cost of any project,” or any phrase of similar import, means all or any part designated by the governing body of the cost of any project, or interest therein, which cost, at the option of the governing body, may include all or any part of the incidental costs pertaining to the project, including, without limitation:

1. Preliminary expenses advanced by the municipality from money available for use therefor, or advanced by the Federal Government, or from any other source, with the approval of the governing body or any board or other agency of the municipality responsible for the project or defraying the cost thereof, or any combination thereof;
2. The costs in the making of surveys, audits, preliminary plans, other plans, specifications, estimates of costs and other preliminaries;
3. The costs of premiums on builders' risk insurance and performance bonds, or a reasonably allocable share thereof;
4. The costs of appraising, printing, estimates, advice, services of engineers, architects, financial consultants, attorneys at law, clerical help or other agents or employees;
5. The costs of making, publishing, posting, mailing and otherwise giving any notice in connection with a project, the filing or recordation of instruments, the taking of options, the issuance of bonds and other securities, and bank fees and expenses;
6. The costs of contingencies;
7. The costs of the capitalization with proceeds of bonds or other securities issued hereunder of any operation and maintenance expenses appertaining to any facilities to be acquired as a project and of any interest on bonds or other securities for any period not exceeding the period estimated by the governing body to effect the project plus 1 year, of any discount on bonds or other securities, and of any reserves for the payment of the principal of and interest on the bonds or other securities, of any replacement expenses, and of any other cost of issuance of the bonds or other securities;
8. The costs of amending any ordinance, resolution or other instrument authorizing the issuance of or otherwise appertaining to outstanding bonds or other securities of the municipality;
9. The costs of funding any medium-term obligations, construction loans and other temporary loans of not exceeding 10 years appertaining to a project and of the incidental expenses incurred in connection with such loans;
10. The costs of any properties, rights, easements or other interests in properties, or any licenses, privileges, agreements, and franchises;
11. The costs of demolishing, removing or relocating any buildings, structures or other facilities on land acquired for any project, and of acquiring lands to which such buildings, structures or other facilities may be moved or relocated; and
12. All other expenses necessary or desirable and appertaining to a project, as estimated or otherwise ascertained by the governing body.

(Added to NRS by [1967, 422](#); A [1975, 865](#); [1989, 53](#); [1997, 553](#))

NRS 350.517 “Disposal” and “dispose” defined. “Disposal” or “dispose” means the sale, destruction, razing, loan, lease, grant, transfer, assignment, option to sell, other contract, or other disposition, or any combination thereof, of facilities, other property, or any interest therein.

(Added to NRS by [1971, 2114](#))

NRS 350.5175 “Equip” and “equipment” defined. “Equip” or “equipment” means the furnishing of all related or appurtenant machinery, furnishings, apparatus, paraphernalia, or other gear, or any combination thereof, pertaining to any project or other property, or any interest therein.

(Added to NRS by [1971, 2114](#))

NRS 350.518 “Facilities” defined. “Facilities” means buildings, structures, utilities, or other income-producing facilities from the operation of which or in connection with which pledged revenues for the payment of any bonds or other securities issued hereunder are

derived, including without limitation any facilities to be acquired with the proceeds of the bonds or securities issued hereunder.

(Added to NRS by [1967, 422](#))

NRS 350.520 “Federal Government” defined. “Federal Government” means the United States, or any agency, instrumentality or corporation thereof.

(Added to NRS by [1967, 423](#))

NRS 350.522 “Federal securities” defined. “Federal securities” means bills, certificates of indebtedness, notes, bonds or similar securities which are direct obligations of, or the principal and interest of which securities are unconditionally guaranteed by, the United States.

(Added to NRS by [1967, 423](#))

NRS 350.524 “Governing body” defined. “Governing body” means the board of county commissioners, city council, city commission, board of supervisors, town council, board of trustees of the school district, board of directors or trustees of any other type district, or other local legislative or governing body of the municipality.

(Added to NRS by [1967, 424](#))

NRS 350.526 “Gross revenues” and “gross pledged revenues” defined. “Gross revenues” or “gross pledged revenues” means all pledged revenues received by the municipality and pledged wholly or in part for the payment of any municipal securities issued hereunder.

(Added to NRS by [1967, 424](#))

NRS 350.528 “Hereby,” “herein,” “hereinabove,” “hereinafter,” “hereinbefore,” “hereof,” “hereto,” “hereunder,” “heretofore” and “hereafter” defined. “Hereby,” “herein,” “hereinabove,” “hereinafter,” “hereinbefore,” “hereof,” “hereto,” “hereunder” and any similar term refer to the Local Government Securities Law and not solely to the particular portion thereof in which such word is used; “heretofore” means before the adoption of the Local Government Securities Law; and “hereafter” means after the adoption of the Local Government Securities Law.

(Added to NRS by [1967, 424](#))

NRS 350.530 “Holder” defined. “Holder,” or any similar term, when used in conjunction with any coupons, any bonds or any other securities, means the person in possession and the apparent owner of the designated item if such obligation is registered for payment to bearer or is not registered, or the term means the registered owner of the designated item if it is at the time registered for payment otherwise than to bearer.

(Added to NRS by [1967, 424](#))

NRS 350.532 “Improvement” and “improve” defined. “Improvement” or “improve” includes the extension, widening, lengthening, betterment, alteration, reconstruction or other major improvement, or any combination thereof, of any properties pertaining to a project or an interest therein, but does not mean renovation, reconditioning, patching, general maintenance or other minor repair.

(Added to NRS by [1967, 424](#); A [1967, 943](#))

NRS 350.534 “Municipal” defined. “Municipal” means pertaining to a municipality as defined in [NRS 350.538](#).

(Added to NRS by [1967, 424](#))

NRS 350.536 “Municipal securities” and “securities” defined. “Municipal securities” or merely “securities” means notes, warrants, bonds, temporary bonds and interim debentures authorized to be issued by any municipality hereunder.

(Added to NRS by [1967, 424](#))

NRS 350.538 “Municipality” defined.

1. “Municipality” means any county, any incorporated city or town, including, without limitation, any city or town organized under the provisions of a special legislative act or other special charter, any unincorporated town, any school district or any quasi-municipal district, including, without limitation, the Nevada Rural Housing Authority and any district created pursuant to [NRS 244.2961](#) or governed by title 25 of NRS, of this state, or any other public agency authorized to issue general or special obligations on behalf of any of these. Where the context so indicates, “municipality” means the geographical area comprising the municipality.

2. “Municipality” does not include an irrigation district or other special district governed by title 48 of NRS.

(Added to NRS by [1967, 424](#); A [1971, 2115](#); [1981, 947](#); [1983, 131](#); [1989, 76](#); [1995, 815](#))

NRS 350.540 “Net revenues” and “net pledged revenues” defined. “Net revenues” or “net pledged revenues” means “gross revenues,” after the deduction of operation and maintenance expenses.

(Added to NRS by [1967, 424](#))

NRS 350.542 “Operation and maintenance expenses” defined.

1. “Operation and maintenance expenses,” or any phrase of similar import, means all reasonable and necessary current expenses of the municipality, paid or accrued, of operating, maintaining and repairing the facilities or of levying, collecting and otherwise administering any excise taxes pertaining to the pledged revenues for the payment of the bonds or other securities issued hereunder; and the term may include at the governing body’s option (except as limited by contract or otherwise limited by law), without limiting the generality of the foregoing:

(a) Engineering, auditing, reporting, legal and other overhead expenses of the various municipal departments directly related and reasonably allocable to the administration of the facilities;

(b) Fidelity bond and property and liability insurance premiums appertaining to the facilities, or a reasonably allocable share of a premium of any blanket bond or policy pertaining to the facilities;

(c) Payments to pension, retirement, health and hospitalization funds and other insurance;

(d) Any taxes, assessments, excise taxes, or other charges which may be lawfully imposed on the municipality, any facilities, revenues therefrom, or any privilege in connection with any facilities or their operation;

(e) The reasonable charges of any paying agent, or commercial bank, trust bank or other depository bank appertaining to any securities issued by the municipality or appertaining to any facilities;

(f) Contractual services, professional services, salaries, other administrative expenses, and costs of materials, supplies, repairs and labor, appertaining to the issuance of any municipal securities and to any facilities, including without limitation the expenses and compensation of any trustee, receiver or other fiduciary under the Local Government Securities Law;

(g) The costs incurred by the governing body in the collection and any refunds of all or any part of the pledged revenues, including without limitation revenues appertaining to any facilities;

(h) Any costs of utility services furnished to the facilities by the municipality or otherwise;

- (i) Any lawful refunds of any pledged revenues; and
- (j) All other administrative, general and commercial expenses.

2. The term “operation and maintenance expenses” does not include:

- (a) Any allowance for depreciation;
 - (b) Any costs of improvements;
 - (c) Any accumulation of reserves for major capital replacements (other than normal repairs);
 - (d) Any reserves for operation, maintenance or repair of any facilities;
 - (e) Any allowance for the redemption of any bond or other municipal security evidencing a loan or other obligation or for the payment of any interest thereon;
 - (f) Any liabilities incurred in the acquisition or improvement of any properties comprising any project or of any existing facilities, or any combination thereof; and
 - (g) Any other ground of legal liability not based on contract.
- (Added to NRS by [1967, 424, 425](#))

NRS 350.546 “Ordinance” defined. “Ordinance” means a county ordinance, city ordinance, town ordinance, school district or other type district resolution, or other type of instrument by the adoption of which the municipality exercises legislative powers.

(Added to NRS by [1967, 425](#))

NRS 350.550 “Pledged revenues” defined. “Pledged revenues” means the moneys pledged wholly or in part for the payment of bonds or other municipal securities issued in accordance with the provisions of the Local Government Securities Law, and, subject to any existing pledges or other contractual limitations:

1. May include at the governing body’s discretion moneys derived from one, all or any combination of revenue resources appertaining to any facilities, including without limitation use and service charges, rents, fees and any other income derived from the operation or ownership of, from the use or services of, or from the availability of or services appertaining to, the lease of, any sale or other disposal of, any contract or other arrangement, or otherwise derived in connection with any facilities or all or any part of any property appertaining to any facilities;

2. May so include all loans, grants, or contributions to the municipality, if any, conditional or unconditional, from the Federal Government, the State or any public body for the payment of the principal of, the interest on, and any prior redemption premiums due in connection with any municipal securities issued hereunder, or any combination thereof; and

3. May so include the proceeds of any excise taxes levied and collected by the municipality or otherwise received by it and authorized by law (other than the Local Government Securities Law) to be pledged for the payment of municipal securities issued in accordance with the provisions of the Local Government Securities Law, but excluding the proceeds of any taxes as defined in [NRS 350.560](#).

(Added to NRS by [1967, 425](#); A [1971, 2115](#))

NRS 350.552 “Project” defined. “Project” means any undertaking or undertakings which the governing body is authorized by law (other than the Local Government Securities Law) to do in the name of the municipality, the cost of which the governing body is authorized by law (other than the Local Government Securities Law) to defray wholly or in part by the issuance of bonds or other securities of the municipality as provided hereunder.

(Added to NRS by [1967, 426](#))

NRS 350.554 “Public body” defined. “Public body” means the Nevada System of Higher Education, the Board of Regents of the University of Nevada, any county, city, town, school district, other type district, authority, commission or other type of body corporate and politic constituting a political subdivision of the State, other than the municipality proceeding hereunder.

(Added to NRS by [1967, 426](#); A [1993, 395](#); [2005, 364](#))

NRS 350.556 “State” defined. “State” means the State of Nevada, or any board, department or other agency or instrumentality thereof, in the United States; and where the context so indicates, “State” means the geographical area comprising the State of Nevada.

(Added to NRS by [1967, 426](#); A [1971, 2115](#))

NRS 350.558 “Taxation” defined. “Taxation” means the levy and collection of taxes as defined in [NRS 350.560](#), but in [NRS 350.710](#) “taxation” pertains to any type of tax, including, without limitation, any business, occupation or privilege tax, any other excise tax, and any property tax, except for the tax on estates imposed pursuant to the provisions of [chapter 375A](#) of NRS and the tax on generation-skipping transfers imposed pursuant to the provisions of [chapter 375B](#) of NRS.

(Added to NRS by [1967, 426](#); A [1969, 1592](#); [1989, 2107](#); [1991, 1710](#))

NRS 350.560 “Taxes” defined. “Taxes” means general (ad valorem) property taxes.

(Added to NRS by [1967, 426](#))

NRS 350.562 “Treasurer” defined.

1. “Treasurer” means:

(a) The de facto or de jure county treasurer, city treasurer, town treasurer or treasurer of any district, or his or her successor in functions, if any.

(b) The county treasurer in the case of any municipality (other than a county) which has no treasurer and for which the county treasurer is required or authorized by law to be the official custodian of the moneys of such municipality, or his or her successor in functions, if any.

2. “Treasurer” may mean the county treasurer if the governing body of the municipality (other than a county) expressly so provides in any instrument or other proceedings hereunder, or his or her successor in functions, if any.

(Added to NRS by [1967, 426](#))

NRS 350.564 “Trust bank” defined. “Trust bank” means:

1. A commercial bank as defined in [NRS 350.512](#) that is authorized to exercise and is exercising trust powers.

2. A branch of the Federal Reserve Bank.

3. A credit union whose deposits are insured by the National Credit Union Share Insurance Fund or by a private insurer approved pursuant to [NRS 672.755](#) that is authorized to exercise and is exercising trust powers.

(Added to NRS by [1967, 426](#); A [1999, 1473](#))

NRS 350.566 “United States” defined. “United States” means the United States of America; and where the context so indicates, “United States” means the geographical area comprising the United States of America.

(Added to NRS by [1967, 426](#); A [1971, 2116](#))

NRS 350.568 Powers of municipality in connection with projects. In connection with any project, the municipality, acting by and through the governing body, except as herein

otherwise provided, may:

1. Sue and be sued;
2. Acquire and hold real or personal property, or rights or interests therein, and water rights;
3. Dispose of unnecessary or obsolete property, or property obtained for persons or public bodies within the State, including without limitation water or water rights, or rights or interests in any such property;
4. Make contracts and execute all instruments necessary or convenient, as determined by the governing body;
5. Acquire by contract or contracts or by its own agents and employees or otherwise acquire any properties for any project or projects, and operate and maintain such properties; and
6. Accept grants of money or materials or property of any kind from the Federal Government, the State, any public body or any person, upon such terms and conditions as the Federal Government, the State, public body or person may impose.

(Added to NRS by [1967, 426](#))

NRS 350.569 Power of eminent domain; reimbursement of public utility for removal and relocation.

1. The governing body may:
 - (a) Exercise on behalf of the municipality the power of eminent domain in the manner provided in [chapter 37](#) of NRS, except as herein otherwise provided;
 - (b) Take any property necessary to carry out any of the objects or purposes concerning such a project, whether the property is already devoted to the same use by any person (but not the Federal Government, the State or any other public body in the absence of any provision to the contrary in any act supplemental hereto); and
 - (c) Condemn any existing works or improvements of any such person now or hereafter used.
2. The power of eminent domain vested in the governing body includes the power to condemn, in the name of the municipality, either the fee simple or any lesser estate or interest in any real property which the governing body by ordinance determines is necessary for carrying out the purposes hereof. The ordinance is prima facie evidence that the taking of the fee simple, easement or other interest, as the case may be, is necessary. The governing body shall not abandon any condemnation proceedings after the date upon which the municipality has taken possession of the property being acquired.
3. If the construction or other acquisition of any project, or any part thereof, makes necessary the removal and relocation of any public utilities, whether on private or public right-of-way, or otherwise, the governing body shall reimburse the owner of the public utility facility for the expense of removal and relocation, including the cost of any necessary land or rights in land, except where the cost of removal and relocation is or has been considered a proper element of just compensation in any settlement by negotiation or in any eminent domain proceeding.

(Added to NRS by [1985, 277](#))

NRS 350.570 Power of municipality to become obligated and issue securities for project. For the purpose of paying the cost of any project authorized by law (other than the Local Government Securities Law), at any time or from time to time the municipality may borrow money or otherwise become obligated for the project and may evidence any such obligation by the issuance of municipal securities in accordance with the provisions of the Local Government Securities Law, to the extent otherwise authorized by law.

(Added to NRS by [1967, 427](#))

NRS 350.572 Types of securities which may be issued; series. The municipality may issue, in one series or more, without the municipal securities being authorized at any election in the absence of an expressed provision to the contrary in the act authorizing the project and the issuance of municipal securities therefor or in any act supplemental thereto, in anticipation of taxes or pledged revenues, or both, and constituting either general obligations or special obligations of the municipality, any one or more or all of the following types of municipal securities:

1. Notes, evidencing any amount borrowed by the municipality;
2. Warrants, evidencing the amount due to any person for any services or supplies, equipment or other materials furnished to or for the benefit of the municipality and appertaining to a project;
3. Bonds, evidencing any amount borrowed by the municipality and constituting long-term financing;
4. Temporary bonds, pending the preparation of and exchangeable for definitive bonds of like character and in like principal amount when prepared and issued in compliance with the conditions and limitations herein provided; and
5. Interim debentures, evidencing any medium-term obligations, construction loans, and other temporary loans of not exceeding 10 years, in supplementation of long-term financing and the issuance of bonds, as provided in [NRS 350.672](#) to [350.682](#), inclusive.

(Added to NRS by [1967, 427](#); A [1975, 252](#); [1989, 54](#); [1997, 554](#))

NRS 350.573 Sale of right to call for purchase of securities.

1. A municipality may sell the right to call for purchase all or any part of an issuance of securities if, in the ordinance authorizing the issuance of the securities, it has:

- (a) Reserved the right to make the sale;
- (b) Provided the time during which a call may be exercised; and
- (c) Provided the price of the purchase.

2. The municipality shall set forth the price and other terms for the sale of the right to call the security in the ordinance authorizing the issuance of the security or a supplemental ordinance adopted before or at the time of the sale of a right to call the security.

3. The owner of the right to call the security may call it only as provided in the ordinance authorizing the issuance of the security or in an ordinance supplemental thereto. A supplemental ordinance must not amend the time during which a call may be exercised or the price of the purchase.

4. The municipality may purchase its own security pursuant to a right to call the security for purchase. A call for purchase must be in accordance with the price and other terms for the purchase set forth in the ordinance authorizing the issuance of the security or in an ordinance supplemental thereto. A supplemental ordinance must not amend the time during which a call may be exercised or the price of the purchase. Such a purchase by a municipality does not discharge the indebtedness evidenced by the security unless the municipality cancels the security so purchased.

(Added to NRS by [1993, 1983](#))

NRS 350.574 Notes and warrants: Maturity; extension or funding. Notes and warrants may mature at such time or times not exceeding 1 year from the date or the respective dates of their issuance as the governing body may determine. They shall not be extended or funded except by the issuance of bonds or interim debentures in compliance with [NRS 350.672](#) to [350.680](#), inclusive, and other provisions supplemental thereto.

(Added to NRS by [1967, 427](#))

NRS 350.575 Resolution to finance preservation or restoration of historic structure; approval of Executive Director of Department of Taxation; appeal to Nevada Tax Commission.

1. Upon the adoption of a resolution to finance the preservation or restoration of a historic structure, in the manner provided in [NRS 350.087](#), by a municipality, a certified copy thereof must be forwarded to the Executive Director of the Department of Taxation, accompanied by a letter from the Office of Historic Preservation of the State Department of Conservation and Natural Resources certifying that the preservation or restoration conforms to accepted standards for such work. As soon as is practicable, the Executive Director of the Department of Taxation shall, after consideration of the tax structure of the municipality concerned and the probable ability of the municipality to repay the requested financing, approve or disapprove the resolution in writing to the governing board. No such resolution is effective until approved by the Executive Director of the Department of Taxation. The written approval of the Executive Director of the Department of Taxation must be recorded in the minutes of the governing board.

2. If the Executive Director of the Department of Taxation does not approve the financing resolution, the governing board of the municipality may appeal the Executive Director's decision to the Nevada Tax Commission.

3. As used in this section, "historic structure" means a building, facility or other structure, including, without limitation, a landmark, which is eligible for listing in the State Register of Historic Places under [NRS 383.085](#).

(Added to NRS by [1985, 2178](#); A [1993, 1570](#); [1995, 1813](#); [2001, 939](#); [2011, 2973](#); [2019, 972](#))

NRS 350.5755 Issuance of negotiable notes or bonds to finance restoration of historic structure; maturity; interest.

1. Whenever the governing body of any municipality is authorized to enter into financing for restoration of a historic structure, as provided in [NRS 350.575](#), the governing body may issue, as evidence thereof, negotiable notes or bonds.

2. The negotiable notes or bonds must:

(a) Mature not later than 15 years after the date of issuance.

(b) Bear interest at a rate or rates which do not exceed by more than 3 percent the Index of Twenty Bonds which was most recently published before the bids are received or a negotiated offer is accepted.

(Added to NRS by [1985, 2178](#))

NRS 350.576 Temporary bonds: Conditions, terms and provisions; holder's rights and remedies. Each temporary bond shall set forth substantially the same conditions, terms and provisions as the definitive bond for which it is exchanged. Each holder of a temporary bond shall have all the rights and remedies which he or she would have as a holder of the definitive bond for which the temporary bond is to be exchanged.

(Added to NRS by [1967, 427](#))

NRS 350.578 Ordinance authorizing issuance of securities: Description of purposes. The ordinance authorizing the issuance of any municipal securities hereunder shall describe the purpose or purposes for which they are issued at least in general terms and may describe any purpose in detail.

(Added to NRS by [1967, 427](#))

NRS 350.579 Emergency ordinances: Adoption; effective date.

1. Any ordinance pertaining to the sale, issuance or payment of bonds or other securities of the municipality (or any combination thereof) may be adopted as if an emergency existed.

2. The governing body's declaration, if any, in any ordinance that it is such an ordinance shall be conclusive in the absence of fraud or gross abuse of discretion.

3. Such an ordinance may become effective at any time when an emergency ordinance of the municipality may go into effect.

4. Such an ordinance may be adopted by an affirmative vote of not less than two-thirds of all the voting members of the governing body (excluding from any such computation any vacancy on the governing body and any member thereon who may vote only to break a tie vote).

(Added to NRS by [1969, 1612](#); A [1975, 866](#))

NRS 350.580 General obligations: Types of securities. The municipality may issue as general obligations any of the following types of municipal securities:

1. Notes;
2. Warrants;
3. Interim debentures;
4. Bonds; and
5. Temporary bonds,

Ê payable from taxes, or payable from taxes and additionally securing such payment by a pledge of net revenues or gross revenues, as the governing body may determine, except as may be otherwise provided in any act supplemental hereto.

(Added to NRS by [1967, 428](#))

NRS 350.582 Special obligations: Types of securities. The municipality may issue as special obligations any of the following types of municipal securities:

1. Notes;
2. Warrants;
3. Interim debentures;
4. Bonds; and
5. Temporary bonds,

Ê in anticipation of net pledged revenues but not under any circumstances under their terms and the proceedings authorizing their issuance in anticipation of taxes nor, unless otherwise expressly provided in any act supplemental hereto, in anticipation of gross pledged revenues. Such special obligation municipal securities may be payable from, secured by a pledge of, and constitute a lien on net pledged revenues and if expressly so provided in any act supplemental hereto gross pledged revenues.

(Added to NRS by [1967, 428](#))

NRS 350.583 Variable rates of interest for securities; agreement with third party for assurance of payment for securities; reimbursement for advances made pursuant to agreement; issuance of securities as commercial paper.

1. The ordinance or resolution authorizing the issuance of any municipal securities that bear interest at a variable rate or any securities described in subsection 3, or any trust indenture or other instrument appertaining thereto, may fix a rate or rates of interest or provide for the determination of the rate or rates from time to time by a designated agent according to the procedure specified in that ordinance or other instrument, which procedure must include the parameters within which the rate may be fixed by that agent. The rate so determined must approximate the rates then being paid for other securities which contain similar provisions and have an equivalent rating. A governing body of a municipality may contract with or select any person to make that determination.

2. A governing body of a municipality may enter into an agreement with a third party for an assurance of payment of the principal of, the interest on, or premiums, if any, due in connection with any municipal securities issued by the governing body. The obligation of the governing body to reimburse that third party for any advances made pursuant to that agreement may be provided in that agreement, recited in those securities or evidenced by another instrument as designated in the ordinance or resolution authorizing the issuance of those securities or any other instrument appertaining thereto. The governing body may assign its rights under that agreement.

3. A municipality may, in accordance with the provisions of this subsection, issue any securities it is otherwise authorized to issue as commercial paper to fund the cost of any project or to refinance any commercial paper or other securities previously issued by that municipality. The term of any commercial paper issued pursuant to this subsection must not exceed 270 days. An agent may be appointed to fix the rates of interest and maturity dates for the commercial paper. Any commercial paper issued pursuant to this subsection may be refunded by any other commercial paper or other securities as may be specified in the ordinance or resolution authorizing the issuance of the commercial paper and the program under which the commercial paper is issued, without any further action by the governing body of the municipality or any other governmental entity, subject to the limitations provided in this section and any limitations provided in that ordinance or resolution. The ordinance or resolution authorizing the issuance of the commercial paper and the program under which the commercial paper is issued:

(a) Must state the maximum principal amount of commercial paper that may be outstanding at any time; and

(b) Except as otherwise provided in this paragraph, may provide that any amount of the commercial paper which is issued and subsequently retired and repaid, other than through a refunding with commercial paper issued under the same program, may be reissued in an amount that does not exceed the amount previously issued, without any reauthorization of those obligations, if the proceeds of that reissued commercial paper are used only for the purposes specified in that ordinance or resolution. The authority granted pursuant to this paragraph may be exercised under a program for the issuance of commercial paper that comprises a general obligation of the municipality only if:

(1) The municipality indicates an intention to exercise that authority in the proposal to incur that general obligation debt which it submits to the debt management commission;

(2) The maximum principal amount of commercial paper which is authorized to be outstanding is counted against any applicable debt limit of the municipality; and

(3) The program terminates:

(I) Within 6 years, if the commercial paper comprises a general obligation of the municipality; or

(II) Within 10 years, if the commercial paper comprises a special obligation of the municipality.

(Added to NRS by [1985, 2088](#); A [2007, 435](#))

NRS 350.5835 Variable rates of interest: Exemption from limitations; conclusive findings of governing body that procedure for determination of rates is reasonable. In fixing the rate or rates of interest for municipal securities pursuant to subsection 1 of [NRS 350.583](#) or the rate or rates of interest imposed on the governing body for reimbursement of any advances made under an agreement pursuant to subsection 2 of [NRS 350.583](#), the governing body is not subject to any limitations on rates of interest provided by statute, including [NRS 350.2011](#), or provided in the question at an election authorizing the issuance of those securities. The ordinance or resolution fixing that rate or rates of interest must contain the findings of the governing body that the procedure specified therein for determining that rate or rates is reasonable under existing or anticipated conditions in the market and is

necessary and advisable for marketing the securities. These findings are conclusive. This section does not prohibit the governing body from fixing a maximum rate of interest in that ordinance or resolution.

(Added to NRS by [1985, 2089](#))

NRS 350.584 Municipal securities payable from gross revenues: Covenant requiring appropriations to pay operation and maintenance expenses. Any ordinance authorizing the issuance of general obligation securities or special obligation securities payable from gross revenues or any indenture or other proceedings appertaining thereto may contain a covenant of the municipality that to the extent required, as provided therein, the municipality will pay operation and maintenance expenses by appropriation from its general fund and that to the extent the moneys accounted for therein are insufficient for that purpose the municipality shall levy taxes therefor.

(Added to NRS by [1967, 428](#))

NRS 350.586 Securities issued as general obligations constitute outstanding indebtedness. Any outstanding general obligation bonds, any temporary general obligation bonds to be exchanged for such definitive bonds, and any general obligation interim debentures constitute outstanding indebtedness of the municipality and exhaust the debt-incurring power of the municipality under any statutory debt limitation appertaining thereto.

(Added to NRS by [1967, 428](#))

NRS 350.588 Securities issued as special obligations do not constitute outstanding indebtedness. Any other municipal securities (except general obligation notes and general obligation warrants) constitute special obligations of the municipality, and all such other securities (including all notes and warrants, general obligations or special obligations, payable within 1 year from date) do not constitute outstanding indebtedness of the municipality nor exhaust its debt-incurring power under any such debt limitation.

(Added to NRS by [1967, 428](#))

NRS 350.590 Recitals required in municipal securities.

1. Municipal securities issued hereunder and constituting special obligations shall recite in substance that the securities and the interest thereon are payable solely from the net revenues or gross revenues pledged to the payment thereof.

2. Municipal securities issued hereunder and constituting general obligations shall pledge the full faith and credit of the municipality for their payment, shall so state, and shall state that they are payable from taxes.

3. General obligation municipal securities the payment of which is additionally secured by a pledge of revenues shall recite in substance, in addition to the statements required by subsection 2 of this section, that the payment of the securities and the interest thereon is additionally secured by a pledge of the net revenues or the gross revenues, as the case may be, designated in the securities.

(Added to NRS by [1967, 428](#))

NRS 350.592 Annual levy of special tax to pay interest on and retire securities issued as general obligations; proceeds of tax kept in two special funds; consolidated debt service fund.

1. There must be levied annually in due season a special tax on all property, both real and personal, subject to taxation within the boundaries of the municipality, fully sufficient together with the revenue which will result from application of the rate to the net proceeds of minerals, without regard to any statutory or charter tax limitations other than the limitation set forth in [NRS 361.453](#), to pay the interest on the general obligation municipal securities and to pay and retire the securities as provided in the Local Government Securities Law and in any act

supplemental hereto. The amount of money to be raised by the tax must be included in the annual estimate or budget for each county within the state for each year for which the tax is hereby required to be levied. The tax must be levied and collected in the same manner and at the same time as other taxes are levied and collected.

2. The proceeds thereof levied to pay interest on the securities must be kept by the treasurer in a special fund, separate and apart from all other funds, and the proceeds of the tax levied to pay the principal of the securities must be kept by the treasurer in a special fund, separate and apart from all other funds. The two special funds must be used for no other purpose than the payment of the interest on the securities and the principal thereof, respectively, when due; but, except as prevented by any contractual limitations imposed upon the municipality by proceedings appertaining to its outstanding securities, the municipality may provide for a consolidated debt service fund to pay principal of and interest on outstanding securities, when due.

(Added to NRS by [1967, 429](#); A [1967, 944](#); [1989, 44](#); [1993, 2659](#); [2013, 3135](#))

NRS 350.594 Time and duration of levy of special tax. Such tax shall be levied immediately after the issuance of any general obligation securities issued in accordance with the provisions of the Local Government Securities Law, and annually thereafter, at the times and in the manner provided by law, until all of the securities, and the interest thereon, have been fully discharged. Such tax may be first levied after the municipality has contracted to sell any securities but before their issuance.

(Added to NRS by [1967, 429](#); A [1975, 866](#))

NRS 350.596 Payment from general fund when taxes insufficient to pay amount due on securities issued as general obligations; reimbursement of general fund. Any sums coming due on any general obligation municipal securities at any time when there are not on hand from such tax levy or levies sufficient funds to pay the same shall be promptly paid when due from the general fund of the municipality, reimbursement to be made to such general fund in the sums thus advanced when the taxes herein provided for have been collected.

(Added to NRS by [1967, 429](#))

NRS 350.598 Application of other available money to payment of interest on and principal of securities issued as general obligations. Nothing contained in the Local Government Securities Law shall be so construed as to prevent the municipality from applying any funds (other than taxes) that may be available for that purpose to the payment of the interest on or the principal of any general obligation municipal securities as the same respectively mature, and regardless of whether the payment of the general obligation municipal securities is additionally secured by a pledge of revenues, and upon such payments, the levy or levies of taxes provided in the Local Government Securities Law may thereupon to that extent be diminished.

(Added to NRS by [1967, 429](#))

NRS 350.602 Proceeds of taxes specially appropriated to payment of principal and interest. There is by the Local Government Securities Law, and there shall be by ordinance authorizing the issuance of any indebtedness contracted in accordance with the provisions of the Local Government Securities Law, specially appropriated the proceeds of such taxes to the payment of such principal and interest; and such appropriations shall not be repealed nor the taxes postponed or diminished (except as herein otherwise expressly provided) until the principal of and interest on the municipal securities evidencing such debt have been wholly paid.

(Added to NRS by [1967, 430](#))

NRS 350.604 Payment of municipal securities not to be secured by encumbrance, mortgage or pledge of municipality's property; exception.

1. Except as otherwise provided in subsection 2:

(a) The payment of municipal securities may not be secured by an encumbrance, mortgage or other pledge of property of the municipality; and

(b) No property of the municipality is liable to be forfeited or taken in payment of the securities.

2. The payment of municipal securities may be secured by pledged revenues, proceeds of taxes and any other money pledged for the payment of the securities. A municipality may encumber, mortgage or otherwise pledge property purchased from the proceeds of a loan to secure repayment of that loan.

(Added to NRS by [1967, 430](#); A [1989, 709](#))

NRS 350.606 Recourse against officers and agents of municipality: Acceptance of securities constitutes waiver and release. No recourse shall be had for the payment of the principal of, any interest on, and any prior redemption premiums due in connection with any bonds or other municipal securities or for any claim based thereon or otherwise upon the ordinance authorizing their issuance or other instrument appertaining thereto, against any individual member of the governing body or any officer or other agent of the municipality, past, present or future, either directly or indirectly through the governing body or the municipality, or otherwise, whether by virtue of any constitution, statute or rule of law, or by the enforcement of any penalty or otherwise, all such liability, if any, being by the acceptance of the securities and as a part of the consideration of their issuance specially waived and released.

(Added to NRS by [1967, 430](#); A [1975, 866](#))

NRS 350.608 Covenants in ordinance authorizing issuance of special obligations impose no liability against municipality or its general credit. None of the covenants, agreements, representations and warranties contained in any ordinance authorizing the issuance of bonds or other municipal securities issued under the provisions of the Local Government Securities Law and constituting special obligations, or in any other instrument appertaining thereto, in the absence of any breach thereof, shall ever impose or shall be construed as imposing any liability, obligation or charge against the municipality (except the special funds pledged therefor) or against the general credit of the municipality, payable out of the general fund of the municipality, or out of any funds derived from taxation.

(Added to NRS by [1967, 430](#))

NRS 350.610 Faith of State pledged against repeal, amendment or modification of Local Government Securities Law. The faith of the State is hereby pledged that the Local Government Securities Law, any law supplemental or otherwise appertaining thereto, and any other act concerning the bonds or other municipal securities, taxes or the pledged revenues or any combination of such securities, such taxes and such revenues shall not be repealed nor amended or otherwise directly or indirectly modified in such a manner as to impair adversely any outstanding municipal securities, until all such securities have been discharged in full or provision for their payment and redemption has been fully made, including without limitation the known minimum yield from the investment or reinvestment of moneys pledged therefor in federal securities.

(Added to NRS by [1967, 431](#))

NRS 350.614 Details of municipal securities provided by ordinance. Except as otherwise provided in the Local Government Securities Law and in any other act the provisions of which are relevant by express reference herein thereto or by provisions to that effect therein, any securities issued hereunder must be:

1. In such a form;
2. Issued in such a manner, at, above or below par at such a discount not exceeding 9 percent of the principal amount of the securities, and at such a price which will result in an effective interest rate which does not exceed the limit provided in [NRS 350.2011](#);
3. Issued with such provisions:
 - (a) For the application of any accrued interest and any premium from the sale of any bonds or other municipal securities hereunder as provided in [NRS 350.648](#);
 - (b) For the registration of the bonds or other securities for payment as to principal only, or as to both principal and interest, at the option of any holder of a bond or other security, or for registration for payment only in either manner designated;
 - (c) For the endorsement of payments of interest on the bonds or other securities or for reconverting the bonds or other securities into coupon bonds or other coupon securities, or both for such endorsement and such reconversion, where any bond or other security is registered for payment as to interest; and where interest accruing on the securities is not represented by interest coupons the securities may provide for the endorsing of payments of interest thereon;
 - (d) For the endorsement of payments of principal on the bonds or other securities, where any bond or other securities are registered for payment as to principal;
 - (e) For the initial issuance of one or more bonds or other securities aggregating the amount of the entire issue or any portion thereof, and the endorsement of payments of interest or principal, or both interest and principal, on the securities;
 - (f) For the manner and circumstances in and under which any such bond or other securities may in the future, at the request of the holder thereof, be converted into bonds or other securities of larger or smaller denominations, which bonds or other securities of larger or smaller denominations may in turn be either coupon bonds or other coupon securities or bonds or other securities registered for payment, or coupon bonds or other coupon securities with provisions for registration for payment;
 - (g) For the reissuance of any outstanding bonds or other securities, and the terms and conditions thereof, whether lost, apparently destroyed, wrongfully taken, or for any other reason, as provided in the Uniform Commercial Code—Investment Securities, or otherwise;
 - (h) For the deposit of money, federal securities or other securities of the Federal Government, or both money and all such securities, with and securing their repayment by a commercial bank or commercial banks within or without or both within and without this state;
 - (i) For the payment of costs or expenses incident to the enforcement of the securities or of the provisions of the ordinance or of any covenant or contract with the holders of the securities; and
4. Issued otherwise with such recitals, terms, covenants, conditions and other provisions, as may be provided by the governing body in an ordinance authorizing their issuance and in any indenture or other proceedings appertaining thereto.

(Added to NRS by [1967, 431](#); A [1969, 1292](#); [1971, 2116](#); [1975, 866](#); [1981, 1403](#); [1983, 574](#))

NRS 350.616 Sale or issuance of municipal securities.

1. Notes, bonds and interim debentures must be sold in the manner prescribed in [NRS 350.105](#) to [350.195](#), inclusive.
2. Warrants may be issued to evidence the amount due to any person furnishing services or materials as provided in the Local Government Securities Law.
3. Temporary bonds must be issued to a purchaser of the definitive bonds in anticipation of the exchange of the former for the latter.

(Added to NRS by [1967, 432](#); A [1971, 2117](#); [1973, 560](#); [1983, 593](#); [1995, 1022](#))

NRS 350.628 Recital in securities conclusive evidence of validity and regularity of issuance. An ordinance providing for the issuance of bonds or other municipal securities hereunder or an indenture or other proceedings appertaining thereto may provide that the securities contain a recital that they are issued pursuant to the Local Government Securities Law, which recital shall be conclusive evidence of their validity and the regularity of their issuance.

(Added to NRS by [1967, 433](#))

NRS 350.630 Denomination, negotiability and maturity of municipal securities; rate of interest.

1. As the governing body may determine, any bonds and other municipal securities issued hereunder, except as otherwise provided in the Local Government Securities Law, or in any act supplemental thereto, must:

(a) Be of a convenient denomination or denominations;

(b) Be fully negotiable within the meaning of and for all the purposes of the Uniform Commercial Code—Investment Securities;

(c) Mature at such time or serially at such times in regular numerical order at annual or other designated intervals in amounts designated and fixed by the governing body, except as herein otherwise provided;

(d) Bear interest at a rate or rates which do not exceed the limit provided in [NRS 350.2011](#), payable annually, semiannually or at other designated intervals, but the first interest payment date may be for interest accruing for any other period;

(e) Be made payable in lawful money of the United States, at the office of the treasurer or any commercial bank or commercial banks within or without or both within and without the State as may be provided by the governing body; and

(f) Be printed at such a place, within or without this State, as the governing body may determine.

2. Except as otherwise provided in subsection 3, general obligation bonds must mature within 30 years from their respective dates and, if they mature serially, commencing not later than the fifth year thereafter, in such manner as the governing body may determine.

3. General obligation bonds issued for a water facility or wastewater facility must mature within 40 years from their respective dates and, if they mature serially, commencing not later than the 15th year thereafter, in such manner as the governing body may determine.

4. Special obligation bonds must mature within 50 years from their respective dates.

5. As used in this section:

(a) “Wastewater facility” has the meaning ascribed to it in [NRS 377B.030](#).

(b) “Water facility” has the meaning ascribed to it in [NRS 377B.050](#).

(Added to NRS by [1967, 433](#); A [1969, 1293](#); [1971, 2118](#); [1975, 867](#); [1981, 948, 1404](#); [1983, 575](#); [2011, 3327](#))

NRS 350.632 Payment of principal, interest and premium when due without further order. The principal of, the interest on and any prior redemption premium due in connection with any municipal securities shall be paid as the same become due in accordance with the terms of the securities and any ordinances and other proceedings appertaining to their issuance, without any warrant or further order or other preliminaries.

(Added to NRS by [1967, 433](#))

NRS 350.634 Interest coupons. Any bonds issued hereunder (except temporary bonds) shall have one or two sets of interest coupons, bearing the number of the bond to which they are respectively attached, numbered consecutively in regular numerical order, and

attached in such manner that they can be removed upon the payment of the installments of interest without injury to the bonds, except as herein otherwise provided.

(Added to NRS by [1967, 434](#))

NRS 350.636 Execution, signing and authentication of municipal securities and coupons. Bonds and other municipal securities issued hereunder shall be executed in the name of the municipality, shall be signed by the chair of the municipality and by the treasurer, and shall be attested by the clerk; and the bonds or other securities shall be authenticated by the seal of the municipality affixed thereto, unless it has no seal. Any coupons shall be signed by the treasurer. Facsimile signatures may be used on any coupons.

(Added to NRS by [1967, 434](#))

NRS 350.638 Facsimile signatures and seals. Any bonds or other securities, including without limitation any certificates endorsed thereon, may be executed with facsimile signatures and seals as provided in [chapter 351](#) of NRS. A compliance therewith is not a condition precedent to the execution of any coupon with a facsimile signature.

(Added to NRS by [1967, 434](#); A [1985, 279](#))

NRS 350.640 Securities not invalid because signatories cease to fill offices. The bonds, any coupons appertaining thereto and other securities, bearing the signatures of the officers in office at the time of the signing thereof, shall be the valid and binding obligations of the municipality, notwithstanding that before the delivery thereof and payment therefor any or all of the persons whose signatures appear thereon have ceased to fill their respective offices.

(Added to NRS by [1967, 434](#))

NRS 350.642 Adoption of facsimile signature of predecessor in office. Any officer authorized or permitted to sign any bonds, any coupons or any other securities, at the time of their execution and of a signature certificate appertaining thereto, may adopt as and for his or her own facsimile signature the facsimile signature of his or her predecessor in office in the event that such facsimile signature appears upon the bonds, coupons and other securities appertaining thereto, or any combination thereof.

(Added to NRS by [1967, 435](#))

NRS 350.644 Redemption before maturity. The governing body may provide for the redemption of any or all of the bonds or other municipal securities before maturity, in such order, by lot or otherwise, at such a time or times, without or with the payment of such a premium or premiums not exceeding 9 percent of the principal amount of each bond or other security so redeemed, and otherwise upon such terms as may be provided by the governing body in the ordinance authorizing the issuance of the securities or other instrument appertaining thereto.

(Added to NRS by [1967, 435](#); A [1971, 2118](#); [1975, 868](#); [1981, 1405](#))

NRS 350.646 Repurchase of municipal securities. Any bonds or other municipal securities may be repurchased by the governing body out of any funds available for such purpose at a price of not more than the principal amount thereof and accrued interest, plus the amount of the premium, if any, which might on the next prior redemption date of such securities be paid to the holders thereof if such securities should be called for redemption on such date pursuant to their terms, and all securities so repurchased shall be cancelled; but if the securities may not be called for prior redemption at the municipality's option within 1 year from the date of their purchase, they may be repurchased without limitation as to price.

(Added to NRS by [1967, 435](#))

NRS 350.648 Use of money received from issuance of municipal securities. All moneys received from the issuance of any securities herein authorized shall be used solely for the purpose or purposes for which issued and to defray wholly or in part the cost of the project thereby delineated. Any accrued interest and any premium shall be applied to the cost of the project or to the payment of the interest on or the principal of the securities, or both interest and principal, or shall be deposited in a reserve therefor, or any combination thereof, as the governing body may determine.

(Added to NRS by [1967, 435](#))

NRS 350.650 Disposition of unexpended balance of proceeds after completion of project. Any unexpended balance of the proceeds of such securities remaining after the completion of the acquisition or improvement of properties pertaining to the project or otherwise the completion of the purpose or purposes for which such securities were issued shall be credited immediately to the fund or account created for the payment of the interest on or the principal of the securities, or both principal and interest, and shall be used therefor, subject to the provisions as to the times and methods for their payment as stated in the securities and the proceedings authorizing or otherwise appertaining to their issuance, or so paid into a reserve therefor, or any combination thereof, as the governing body may determine.

(Added to NRS by [1967, 435](#))

NRS 350.652 Validity of securities not dependent on proceedings relating to project or completion of purpose; purchasers not responsible for application of proceeds.

1. The validity of any securities shall not be dependent on nor affected by the validity or regularity of any proceedings relating to a project or the proper completion of any purpose for which the securities are issued.

2. The purchaser or purchasers of the securities shall in no manner be responsible for the application of the proceeds of the securities by the municipality or any of its officers, agents and employees.

(Added to NRS by [1967, 435](#))

NRS 350.654 Special funds and accounts: Creation; purposes. The governing body in any ordinance authorizing the issuance of bonds or other securities hereunder or in any instrument or other proceedings appertaining thereto may create special funds and accounts for the payment of the cost of a project, of operation and maintenance expenses, of the securities, including the accumulation and maintenance of reserves therefor, of improvements, including the accumulation and maintenance of reserves therefor, and of other obligations appertaining to the securities, any project or any facilities.

(Added to NRS by [1967, 436](#))

NRS 350.656 Employment of legal and other expert services; contracts for sale and other purposes.

1. The governing body on the behalf of the municipality may employ legal, fiscal, engineering and other expert services in connection with any project or any facilities, or both such project and facilities, and the authorization, sale and issuance of bonds and other securities hereunder.

2. The governing body on the behalf of the municipality is authorized to enter into any contracts or arrangements, not inconsistent with the provisions hereof, with respect to the sale of bonds or other securities hereunder, the employment of engineers, architects, financial consultants and bond counsel, and other matters as the governing body may determine to be necessary or desirable in accomplishing the purposes hereof.

(Added to NRS by [1967, 436](#))

NRS 350.658 Investment and reinvestment of revenues and proceeds of taxes and securities in federal securities and certain money market mutual funds.

1. The governing body, subject to any contractual limitations from time to time imposed upon the municipality by any ordinance authorizing the issuance of the municipality's outstanding securities or by any trust indenture or other proceedings appertaining thereto, may cause to be invested and reinvested any proceeds of taxes, any pledged revenues and any proceeds of bonds or other municipal securities issued hereunder in:

(a) Federal securities and other securities of the Federal Government.

(b) Money market mutual funds that:

(1) Are registered with the Securities and Exchange Commission;

(2) Are rated by a nationally recognized rating service as "AAA" or its equivalent;
and

(3) Invest only in securities issued or guaranteed as to payment of principal and interest by the Federal Government, or its agencies or instrumentalities, or in repurchase agreements that are fully collateralized by such securities.

Ê The governing body may cause such proceeds of taxes, revenues, municipal securities, federal securities, other securities of the Federal Government and money market mutual funds to be deposited in any trust bank or trust banks within or without or both within and without this state and secured in such manner and subject to such terms and conditions as the governing body may determine, with or without the payment of any interest on such deposit, including, without limitation, time deposits evidenced by certificates of deposit.

2. Any federal securities, other securities of the Federal Government, shares in money market mutual funds and any such certificates of deposit thus held may, from time to time, be sold, and the proceeds may be so reinvested or redeposited as provided in this section.

3. Sales and redemptions of any federal securities, other securities of the Federal Government, shares in money market mutual funds and such certificates of deposit thus held must, from time to time, be made in season so that the proceeds may be applied to the purposes for which the money with which such securities, shares in money market mutual funds and certificates of deposit were originally acquired was placed in the municipal treasury.

4. Any gain from any such investments or reinvestments may be credited to any fund or account pledged for the payment of any municipal securities issued hereunder, including any reserve therefor, or any other fund or account appertaining to a project or any facilities or the municipality's general fund, subject to any contractual limitations in any proceedings appertaining to outstanding municipal securities.

5. It is lawful for any commercial bank incorporated under the laws of this state which may act as depository of the proceeds of any securities issued hereunder, any federal securities, other securities of the Federal Government and shares in money market mutual funds owned by the municipality, any proceeds of taxes, any pledged revenues, and any money otherwise appertaining to a project or any facilities, or any combination thereof, to furnish such indemnifying bonds and to pledge such federal securities, such other securities issued by the Federal Government, such shares in money market funds and such other securities as may be required by the governing body.

(Added to NRS by [1967, 436](#); A [1997, 2869](#))

NRS 350.659 Investment and reinvestment of revenues and proceeds of taxes and certain securities in investment contract collateralized with federal securities by governing body in county whose population is 20,000 or more. The governing body of a local government in a county whose population is 20,000 or more, subject to any contractual limitations from time to time imposed upon the local government by any ordinance authorizing the issuance of outstanding securities of the local government or by any trust indenture or other proceedings appertaining thereto, may cause to be invested and reinvested,

except as otherwise provided in [NRS 350.698](#), any proceeds of taxes, any pledged revenues and any proceeds of bonds or other local government securities issued hereunder for which the amount of the principal of the original issuance was \$5,000,000 or more in an investment contract that is collateralized with securities issued by the Federal Government or agencies of the Federal Government if:

1. The collateral has a market value of at least 102 percent of the amount invested and any accrued unpaid interest thereon;
2. In a county whose population is 20,000 or more but less than 55,000:
 - (a) The local government employs a full-time finance director; and
 - (b) The terms of the investment contract have been reviewed by independent bond counsel, who has determined that the contract complies with this section;
3. The local government receives a security interest in the collateral that is fully perfected and the collateral is held in custody for the local government or its trustee by a third-party agent of the local government which is a commercial bank authorized to exercise trust powers;
4. The market value of the collateral is determined not less frequently than weekly and, if the ratio required by subsection 1 is not met, sufficient additional collateral is deposited with the agent of the local government to meet that ratio within 2 business days after the determination; and
5. The party with whom the investment contract is executed is a commercial bank, or that party or a guarantor of the performance of that party is:
 - (a) An insurance company which has a rating on its ability to pay claims of not less than “Aa2” by Moody’s Investors Service, Inc., or “AA” by Standard and Poor’s Ratings Services, or their equivalent; or
 - (b) An entity which has a credit rating on its outstanding long-term debt of not less than “A2” by Moody’s Investors Service, Inc., or “A” by Standard and Poor’s Ratings Services, or their equivalent.

(Added to NRS by [1997, 2868](#); A [2003, 824](#); [2007, 2522](#); [2011, 1218](#))

NRS 350.660 Covenants and other provisions in municipal securities. Any ordinance providing for the issuance of any bonds or other municipal securities hereunder payable from pledged revenues and any indenture or other instrument or proceedings appertaining thereto may at the discretion of the governing body contain covenants or other provisions, notwithstanding such covenants and provisions may limit the exercise of powers conferred hereby, in order to secure the payment of such securities, in agreement with the holders of such securities, including without limitation covenants or other provisions as to any one or more of the following:

1. The pledged revenues and, in the case of general obligations, the taxes to be fixed, charged or levied and the collection, use and disposition thereof, including but not limited to the foreclosure of liens for delinquencies, the discontinuance of services, facilities or use of any properties or facilities, prohibition against free service, the collection of penalties and collection costs, and the use and disposition of any moneys of the municipality, derived or to be derived, from any source herein designated;
2. The acquisition, improvement or equipment of all or any part of properties pertaining to any project or any facilities;
3. The creation and maintenance of reserves or sinking funds to secure the payment of the principal of and interest on any securities or of operation and maintenance expenses of any facilities, or part thereof, and the source, custody, security, regulation, use and disposition of any such reserves or funds, including but not limited to the powers and duties of any trustee with regard thereto;

4. A fair and reasonable payment by the municipality from its general fund or other available moneys to the account of any designated facilities for services rendered thereby to the municipality;

5. The payment of the cost of any project by delineating the purpose or purposes to which the proceeds of the sale of securities may be applied, and the custody, security, use, expenditure, application and disposition thereof;

6. The temporary investment and any reinvestment of proceeds of bonds, other securities, any taxes or pledged revenues, or any combination thereof, in federal securities and other securities issued by the Federal Government;

7. The pledge of and the creation of a lien upon pledged revenues or the proceeds of bonds or other municipal securities pending their application to defray the cost of any project, or both such revenues and proceeds of such securities, to secure the payment of bonds or other such securities issued hereunder;

8. The payment of the principal of and interest on any municipal securities, and any prior redemption premiums due in connection therewith, and the sources and methods thereof, the rank or priority of any securities as to any lien or security for payment, or the acceleration of any maturity of any securities, or the issuance of other or additional securities payable from or constituting a charge against or lien upon any pledged revenues or other moneys pledged for the payment of securities and the creation of future liens and encumbrances thereagainst;

9. The use, regulation, inspection, management, operation, maintenance or disposition, or any limitation or regulation of the use, of all or any part of the facilities or any property of the municipality appertaining thereto;

10. The determination or definition of pledged revenues from any facilities or of operation and maintenance expenses of facilities, the use and disposition of such revenues and the manner of and limitations upon paying such expenses;

11. The creation of special funds and accounts appertaining to any pledged revenues or to the bonds or other securities issued hereunder;

12. The insurance to be carried by the municipality or any other person in interest and use and disposition of insurance moneys, the acquisition of completion, performance, surety and fidelity bonds appertaining to any project or funds, or both, and the use and disposition of any proceeds of such bonds;

13. Books of account, the inspection and audit thereof, and other records appertaining to any project, facilities or pledged revenues;

14. The assumption or payment or discharge of any obligation, lien or other claim relating to any part of any project, any facilities or any securities having or which may have a lien on any part of any pledged revenues or other moneys of the municipality;

15. Limitations on the powers of the municipality to acquire or operate, or permit the acquisition or operation of, any structures, facilities or properties which may compete or tend to compete with any facilities;

16. The vesting in a corporate or other trustee or trustees of such property, rights, powers and duties in trust as the governing body may determine, which may include any or all of the rights, powers and duties of the trustee appointed by the holders of securities, and limiting or abrogating the right of such holders to appoint a trustee, or limiting the rights, duties and powers of such trustee;

17. Events of default, rights and liabilities arising therefrom, and the rights, liabilities, powers and duties arising upon the breach by the municipality of any covenants, conditions or obligations;

18. The terms and conditions upon which the holders of the municipal securities or any portion, percentage or amount of them may enforce any covenants or provisions made hereunder or duties imposed thereby;

19. The terms and conditions upon which the holders of the securities or of a specified portion, percentage or amount thereof; or any trustee therefor, shall be entitled to the appointment of a receiver, which receiver may enter and take possession of any facilities or service, operate and maintain the same, prescribe fees, rates and charges, and collect, receive and apply all revenues thereafter arising therefrom in the same manner as the municipality itself might do;

20. A procedure by which the terms of any ordinance authorizing securities, or any other contract with any holders of municipal securities, including but not limited to an indenture of trust or similar instrument, may be amended or abrogated, and as to the proportion, percentage or amount of securities the holders of which must consent thereto, and the manner in which such consent may be given;

21. The terms and conditions upon which any or all of the securities shall become or may be declared due before maturity, and as to the terms and conditions upon which such declaration and its consequences may be waived; and

22. All such acts and things as may be necessary or convenient or desirable in order to secure the securities, or in the discretion of the governing body tend to make the securities more marketable, notwithstanding that such covenant, act or thing may not be enumerated herein, it being the intention hereof to give the governing body power to do in the name and on behalf of the municipality all things in the issuance of municipal securities and for their security except as herein expressly limited.

(Added to NRS by [1967, 437](#))

NRS 350.662 Pledged revenues received or credited subject to immediate lien; priority and validity of lien.

1. Revenues pledged for the payment of any securities, as received by or otherwise credited to the municipality, shall immediately be subject to the lien of each such pledge without any physical delivery thereof, any filing or further act.

2. The lien of each such pledge and the obligation to perform the contractual provisions made in the authorizing resolution or other instrument appertaining thereto shall have priority over any or all other obligations and liabilities of the municipality, except as may be otherwise provided herein or in the resolution or other instrument, and subject to any prior pledges and liens theretofore created.

3. The lien of each such pledge shall be valid and binding as against all persons having claims of any kind in tort, contract or otherwise against the municipality irrespective of whether such persons have notice thereof.

(Added to NRS by [1967, 439](#))

NRS 350.664 Rights and powers of holders of municipal securities and trustees.

Subject to any contractual limitations binding upon the holders of any issue or series of municipal securities, or trustee therefor, including but not limited to the restriction of the exercise of any remedy to a specified proportion, percentage or number of such holders, and subject to any prior or superior rights of others, any holder of securities, or trustee therefor, shall have the right and power, for the equal benefit and protection of all holders of securities similarly situated:

1. By mandamus or other suit, action or proceeding at law or in equity to enforce his or her rights against the municipality, the governing body, and any other of the officers, agents and employees of the municipality, to require and compel the municipality, the governing body, or any such officers, agents or employees to perform and carry out their respective duties, obligations or other commitments hereunder and their respective covenants and agreements with the holder of any security;

2. By action or suit in equity to require the municipality to account as if it is the trustee of an express trust;

3. By action or suit in equity to have appointed a receiver, which receiver may enter and take possession of any facilities and any pledged revenues for the payment of the securities, prescribe sufficient fees derived from the facilities, and collect, receive and apply all pledged revenues or other moneys pledged for the payment of the securities in the same manner as the municipality itself might do in accordance with the obligations of the municipality; and

4. By action or suit in equity to enjoin any acts or things which may be unlawful or in violation of the rights of the holder of any securities and to bring suit thereupon.

(Added to NRS by [1967, 439](#))

NRS 350.666 Receivers: Appointment; powers and duties.

1. If an ordinance of the governing body authorizing or providing for the issuance of any municipal securities of any series or any other proceedings appertaining thereto contains a provision authorized by subsection 19 of [NRS 350.660](#) and further provides in substance that any trustee appointed pursuant to subsection 16 of [NRS 350.660](#) shall have the powers provided by that subsection, then such trustee, whether or not all of the bonds or other securities of such series have been declared due and payable, shall be entitled as of right to the appointment of a receiver of the facilities appertaining thereto.

2. Any receiver appointed as permitted by subsection 19 of [NRS 350.660](#) may enter upon and take possession of the facilities and property appertaining thereto, and, subject to any pledge or contract with the holders of such securities, shall take possession of all moneys and other property derived from or applicable to the acquisition, operation, maintenance or improvement of the facilities and proceed with such acquisition, operation, maintenance or improvement which the governing body on the behalf of the municipality is under any obligation to do, and operate, maintain, equip and improve the facilities, and fix, charge, collect, enforce and receive the service charges and all revenues thereafter arising subject to any pledge thereof or contract with the holders of such securities relating thereto and perform the public duties and carry out the contracts and obligations of the municipality in the same manner as the governing body itself might do and under the direction of the court.

(Added to NRS by [1967, 440](#))

NRS 350.668 Rights and remedies cumulative. No right or remedy conferred upon any holder of any securities or any coupon appertaining thereto or any trustee for such holder hereby or by any proceedings appertaining to the issuance of such securities or coupon is exclusive of any right or remedy, but each such right or remedy is cumulative and in addition to every other right or remedy and may be exercised without exhausting and without regard to any other remedy conferred hereby or by any other law.

(Added to NRS by [1967, 440](#))

NRS 350.670 Failure of holder to proceed does not relieve municipality, governing body and officers, agents and employees of municipality of liability for nonperformance of duties. The failure of any holder of any municipal securities or any coupons appertaining thereto so to proceed as herein provided or in such proceedings shall not relieve the municipality, the governing body or any of the officers, agents and employees of the municipality of any liability for failure to perform or carry out any duty, obligation or other commitment.

(Added to NRS by [1967, 440](#))

NRS 350.672 Interim debentures: Issuance for general or special obligations.

1. Notwithstanding any limitation or other provision herein, whenever the municipality is authorized to issue general obligation bonds, but only if the qualified electors of the municipality voting on a proposal to issue the general obligation bonds have authorized in the manner required by law their issuance by the municipality for any project, if such general obligation bonds as a condition to their issuance are so required to be authorized at an election,

the municipality is authorized to borrow money without any other election in anticipation of the proceeds of taxes, the proceeds of the bonds, the proceeds of pledged revenues, or any other moneys of the municipality, or any combination thereof, and to issue general obligation interim debentures to evidence the amount so borrowed.

2. Notwithstanding any limitation or other provision herein, whenever the municipality is authorized to issue special obligation revenue bonds, but only if the qualified electors of the municipality voting on a proposal to issue the revenue bonds have authorized in the manner required by law their issuance by the municipality for any project, if such revenue bonds as a condition to their issuance are so required to be authorized at an election, the municipality also is authorized to borrow money without any election in anticipation of the proceeds of revenue bonds or any other special obligations of the municipality and of its pledged revenues, or any combination thereof, but excluding the proceeds of any taxes, and to issue special obligation interim debentures to evidence the amount so borrowed.

(Added to NRS by [1967, 440](#))

NRS 350.674 Issuance of municipal securities constituting debt to fund or refund special obligations not constituting indebtedness: Conditions; restrictions.

1. Subject to the provisions of subsections 2, 3, 4 and 5, nothing contained herein shall be construed as authorizing the municipality to issue any municipal securities constituting a debt for the purpose of funding or refunding municipal securities constituting special obligations which do not constitute an indebtedness.

2. Any special obligation securities of a municipality pertaining to any project may be funded or refunded by general obligation securities pertaining to the project only if the municipality is authorized by law to issue such funding or refunding securities at the time of their issuance, even though the municipality was not so authorized to issue them at the time of the issuance of any such funded or refunded securities.

3. If the issuance of general obligation bonds to defray the cost of the project is conditioned upon their approval by the qualified electors of the municipality at an election, any general obligation securities pertaining to the project and creating an indebtedness, by funding or refunding special obligation securities or otherwise, may be issued only if the bonds have been so approved at an election in the manner provided by law.

4. If a debt limitation pertains to any general obligation bonds or other securities of a municipality constituting an indebtedness and relating to any project, no general obligation securities pertaining to the project and creating an indebtedness, by funding or refunding special obligation securities or otherwise (in contradistinction to funding or refunding bonds merely reevidencing an indebtedness formerly evidenced by the securities funded or refunded), shall be issued in a principal amount exceeding such debt limitation.

5. No bonds of a municipality shall be refunded by the issuance of its interim debentures, its notes or its warrants. No interim debentures of a municipality shall be funded by the issuance of its notes or its warrants.

(Added to NRS by [1967, 441](#); A [1969, 1593](#))

NRS 350.676 Interim debentures: Maturity; use of proceeds; issuance.

1. Any interim debentures may mature at such time or times not exceeding a period of time equal to the estimated time needed to effect the purpose or purposes for which they are issued or for which the bonds are authorized to be issued, but not exceeding 5 years from the date of the interim debentures, as the governing body may determine.

2. The proceeds of interim debentures shall be used to defray the cost of a project.

3. Any notes or warrants or both notes and warrants may be funded with the proceeds of interim debentures, as well as bonds.

4. Except as otherwise provided in [NRS 350.672](#) to [350.682](#), inclusive, interim debentures shall be issued as provided herein for municipal securities in [NRS 350.584](#) to

[350.670](#), inclusive, and [NRS 350.708](#) to [350.720](#), inclusive.

(Added to NRS by [1967, 441](#); A [1969, 1593](#); [1975, 868](#))

NRS 350.678 Interim debentures: Security for payment.

1. Except as otherwise provided in [NRS 350.674](#), the proceeds of taxes, pledged revenues and other money, including without limitation proceeds of bonds to be issued or reissued after the issuance of interim debentures, and bonds issued to secure the payment of interim debentures, or any combination thereof, may be pledged to secure the payment of interim debentures; but the proceeds of taxes and the proceeds of bonds payable from taxes, or any combination thereof, must not be used to pay any special obligation interim debentures nor may their payment be secured by a pledge of any such general obligation bonds.

2. Any bonds pledged as collateral security for the payment of any interim debentures must mature at such time or times as the governing body may determine, except as otherwise provided in subsections 2, 3 and 4 of [NRS 350.630](#).

3. Any bonds pledged as collateral security must not be issued in an aggregate principal amount exceeding the aggregate principal amount of the interim debenture or interim debentures secured by a pledge of such bonds, nor may they bear interest at any time which, with any interest accruing at the same time on the interim debenture or interim debentures so secured, exceeds the rate permitted on the debenture or debentures secured, computed from the appropriate index which was most recently published before the bids are received or a negotiated offer is accepted.

(Added to NRS by [1967, 441](#); A [1969, 1294](#); [1971, 2119](#); [1975, 868](#); [1981, 1405](#); [1983, 576](#); [2011, 3328](#))

NRS 350.680 Interim debentures: Extension and funding. No interim debentures issued pursuant to the provisions of [NRS 350.672](#) to [350.678](#), inclusive, shall be extended or funded except by the issuance or reissuance of a bond or bonds in compliance with [NRS 350.682](#).

(Added to NRS by [1967, 442](#))

NRS 350.682 Interim debentures: Funding by reissuance of bonds pledged as collateral security; issuance of other bonds.

1. For the purpose of funding any interim debentures, any bonds pledged as collateral security to secure the payment of such interim debentures, upon their surrender as pledged property, may be reissued without an election, and any bonds not previously issued but authorized to be issued, at an election in the case of bonds required by law so to be authorized, and otherwise merely by the governing body, for a purpose or purposes the same as or encompassing the purpose or purposes for which the interim debentures were issued, may be issued for such a funding.

2. Any such bonds shall mature at such time or times as the governing body may determine, except as otherwise provided in subsections 2, 3 and 4 of [NRS 350.630](#).

3. Bonds for funding, including but not necessarily limited to any such reissued bonds, and bonds for any other purpose or purposes may be issued separately or issued in combination in one series or more.

4. Except as herein otherwise provided in this section and in [NRS 350.676](#), [350.678](#) and [350.680](#), any such funding bonds shall be issued as is provided herein for other bonds.

(Added to NRS by [1967, 442](#); A [2011, 3328](#))

NRS 350.684 Refunding of general and special obligation bonds: Ordinance; trust indenture. Subject to the provisions of [NRS 350.674](#), any general obligation bonds or special obligation bonds of the municipality issued in accordance with the provisions of the Local Government Securities Law or any other act and payable from any pledged revenues

and any general obligation bonds of the municipality so issued but not payable from pledged revenues may be refunded on behalf of the municipality by the governing body, without the necessity of the refunding bonds being authorized at an election except as otherwise provided in [NRS 350.674](#), by the adoption of an ordinance or ordinances by the governing body and by any trust indenture or other proceedings appertaining thereto, authorizing the issuance of refunding bonds to refund, pay and discharge all or any part of such outstanding bonds of any one or more or all outstanding issues:

1. For the acceleration, deceleration or other modification of the payment of such obligations, including any interest thereon in arrears, or about to become due for any period not exceeding 3 years from the date of the refunding bonds, unless the capitalization of interest on bonds constituting an indebtedness increases the municipal debt in excess of the municipality's debt limitation, if any;

2. For the purpose of reducing interest costs or effecting other economies;

3. For the purpose of modifying or eliminating restrictive contractual limitations appertaining to the issuance of additional bonds, otherwise concerning the outstanding bonds, or otherwise relating to any facilities appertaining thereto; or

4. For any combination of the purposes stated in subsections 1, 2 and 3.

(Added to NRS by [1967, 442](#); A [1969, 1594](#))

NRS 350.686 Calls for prior redemption: Limitations. Nothing contained in the Local Government Securities Law or in any other law of this state shall be construed to permit the governing body to call on behalf of the municipality bonds or other securities outstanding now or any time after April 12, 1967, for prior redemption in order to fund or refund such securities or in order to pay them prior to their stated maturities, unless the right to call such securities for prior redemption was specifically reserved and stated in such securities at the time of their issuance, and all conditions with respect to the manner, price and time applicable to such prior redemption as set forth in the proceedings authorizing the outstanding securities are strictly observed. It is the intention of the Legislature in this section to make it certain that the holder of no outstanding bond or other security may be compelled to surrender such security for funding or refunding prior to its stated maturity or optional date of prior redemption expressly reserved therein, even though such funding or refunding might result in financial benefit to the municipality.

(Added to NRS by [1967, 442](#); A [1967, 943](#); [1969, 1594](#))

NRS 350.688 Exchange of outstanding securities held by State or its agencies for funding or refunding. Notwithstanding the provisions of [NRS 350.686](#) or of any other law, this state, acting by and through the State Board of Finance, may agree with the governing body to exchange any outstanding bonds or other securities issued by the municipality and held by the State, or any agency, corporation, department or other instrumentality of the State, for funding or refunding bonds or other funding securities of the municipality or otherwise to surrender at such price and time and otherwise upon such conditions and other terms and in such manner as may be mutually agreeable such outstanding bonds or other securities to the governing body for funding or refunding at any time prior to their respective maturities or to any date as of which the municipality has the right and option to call on its behalf such outstanding securities for prior redemption as expressly provided in the outstanding securities and any ordinance, trust indenture or other proceedings authorizing their issuance.

(Added to NRS by [1967, 443](#); A [1969, 1595](#))

NRS 350.690 Refunding of outstanding securities evidencing long-term loans. Any provision herein concerning the refunding of outstanding bonds includes any outstanding securities evidencing long-term loans to the municipality regardless of whether such securities are designated as bonds, certificates, single certificates or otherwise.

(Added to NRS by [1967, 443](#))

NRS 350.692 Refunding bonds: Sale or exchange for outstanding bonds; exchange for federal securities.

1. Any bonds issued for refunding purposes may be delivered in exchange for the outstanding bonds being refunded or may be sold in the manner prescribed in [NRS 350.105 to 350.195](#), inclusive.

2. The refunding bonds, or any part thereof, except as limited by subsection 2 of [NRS 350.698](#), may be exchanged by the municipality for federal securities and other securities of the Federal Government which have been made available for escrow investment by any purchaser of refunding bonds, upon terms of exchange mutually agreed upon, and any such securities so received by the municipality must be placed in escrow as provided in [NRS 350.696](#) and [350.698](#).

(Added to NRS by [1967, 443](#); A [1995, 1022](#))

NRS 350.694 Conditions for refunding bonds.

1. No bonds may be refunded under this chapter unless the holders thereof voluntarily surrender them for exchange or payment, or unless they either mature or are callable for prior redemption under their terms within 25 years from the date of issuance of the refunding bonds. Provision must be made for paying the securities within that period.

2. The maturity of any bond refunded may not be extended beyond 25 years, or beyond 1 year next following the date of the last outstanding maturity, whichever limitation is later, nor may any interest on any bond refunded be increased to any rate which exceeds the limit provided in [NRS 350.2011](#).

3. The principal amount of the refunding bonds may exceed the principal amount of the refunded bonds, but in the case of any bonds constituting a debt the principal of the bonds may not be increased to any amount in excess of any municipal debt limitation.

4. The principal amount of the refunding bonds may also be less than or the same as the principal amount of the bonds being refunded so long as provision is duly and sufficiently made for their payment.

5. If at the time of the issuance of any issue of general obligation refunding bonds provision is not made for the redemption of all the outstanding bonds of the issue refunded or the outstanding bonds of each issue refunded, as the case may be, by the use of proceeds of the refunding bonds and any other money available for the redemption, the general obligation refunding bonds may mature but are not required to mature serially in accordance with subsections 2 and 3 of [NRS 350.630](#).

(Added to NRS by [1967, 443](#); A [1969, 1294](#); [1971, 2119](#); [1975, 869](#); [1981, 948](#), [1405](#); [1983, 576](#), [1595](#); [2011, 3329](#))

NRS 350.696 Refunding bonds: Disposition of proceeds, accrued interest and premium; costs; escrow; trusts.

1. Except as herein otherwise provided, the proceeds of refunding bonds shall either be immediately applied to the retirement of the bonds to be refunded or be placed in escrow or trust in any trust bank or trust banks within or without or both within and without this state to be applied to the payment of the refunded bonds or the refunding bonds, or both the refunded bonds and the refunding bonds, upon their presentation therefor to the extent, in such priority and otherwise in the manner which the governing body may determine.

2. The incidental costs of refunding bonds may be paid by the purchaser of the refunding bonds or be defrayed from any general fund (subject to appropriations therefor as otherwise provided by law) or other available revenues of the municipality under the control of the governing body or from the proceeds of the refunding bonds, or from the interest or other yield derived from the investment of any refunding bond proceeds or other moneys in escrow or trust, or from any other sources legally available therefor, or any combination thereof, as the governing body may determine.

3. Any accrued interest and any premium appertaining to a sale of refunding bonds may be applied to the payment of the interest thereon or the principal thereof, or to both interest and principal, or may be deposited in a reserve therefor, or may be used to refund bonds by deposit in escrow, trust or otherwise, or may be used to defray any incidental costs appertaining to the refunding, or any combination thereof, as the governing body may determine.

(Added to NRS by [1967, 444](#))

NRS 350.698 Proceeds of refunding bonds in escrow or trust: Investment; security; sufficient amount; purchaser not responsible for application of proceeds.

1. Any such escrow or trust shall not necessarily be limited to proceeds of refunding bonds but may include other moneys available for its purpose.

2. Any proceeds in escrow or trust, pending such use, may be invested or reinvested in federal securities, and in the case of an escrow or trust for the refunding of outstanding municipal special obligation (but not general obligation) securities, in other securities issued by the Federal Government, if the ordinance authorizing the issuance of such outstanding municipal securities or any trust indenture or other proceedings appertaining thereto expressly permits any such investment or reinvestment in such securities issued by the Federal Government other than federal securities.

3. Any trust bank accounting for federal securities and other securities issued by the Federal Government in such escrow or trust may place them for safekeeping wholly or in part in any trust bank or trust banks within or without or both within and without this state.

4. Any trust bank shall continuously secure any moneys placed in escrow or trust and not so invested or reinvested in federal securities and other securities issued by the Federal Government by a pledge in any trust bank or trust banks within or without or both within and without the state of federal securities in an amount at all times at least equal to the total uninvested amount of such moneys accounted for in such escrow or trust.

5. Such proceeds and investments in escrow or trust, together with any interest or other gain to be derived from any such investment, shall be in an amount at all times at least sufficient to pay principal, interest, any prior redemption premiums due, and any charges of the escrow agent or trustee and any other incidental expenses payable therefrom, except to the extent provision may have been previously otherwise made therefor, as such obligations become due at their respective maturities or due at designated prior redemption date or dates in connection with which the governing body has exercised or is obligated to exercise a prior redemption option on behalf of the municipality.

6. The computations made in determining such sufficiency shall be verified by a certified public accountant certified or licensed to practice in this state or in any other state.

7. Any purchaser of any refunding bond issued hereunder shall in no manner be responsible for the application of the proceeds thereof by the municipality, the governing body or any of the officers, agents or employees of the municipality.

(Added to NRS by [1967, 444](#))

NRS 350.700 Refunding bonds payable from taxes or pledged revenues.

Refunding bonds may be made payable from any taxes or pledged revenues, or both taxes and such revenues, which might be legally pledged for the payment of the bonds being refunded at the time of the refunding or at the time of the issuance of the bonds being refunded, as the governing body may determine, notwithstanding the taxes, or the revenue sources, or the pledge of such revenues, or any combination thereof, for the payment of the outstanding bonds being refunded is thereby modified, subject to the provisions of [NRS 350.674](#).

(Added to NRS by [1967, 445](#))

NRS 350.702 Issuance of bonds separately or in combination. Bonds for refunding and bonds for any other purpose or purposes authorized hereby or by any other law may be issued separately or issued in combination in one series or more by the municipality in accordance with the provisions of the Local Government Securities Law.

(Added to NRS by [1967, 445](#))

NRS 350.704 Bonds of abolished municipalities may be refunded.

1. Bonds of any municipality abolished by law may be refunded under the provisions hereof. Whether or not the bonds of the abolished municipality have been assumed by any successor municipality prior to the issuance of the refunding bonds, the refunding bonds must be authorized by the governing body of each successor municipality in which is situated all or any part of the area of the abolished municipality.

2. If the obligation of the abolished municipality evidenced by its outstanding bonds has not been assumed wholly or in part by a successor municipality prior to the authorization of the issuance of the refunding bonds, the refunding bonds shall be issued in the name of the abolished municipality and shall evidence the same character of obligations as evidenced by the refunded bonds.

3. To the extent any obligation evidenced by the refunded bonds has been so assumed by a successor municipality, the refunding bonds shall be authorized to be issued in the name of the successor municipality which shall reevidence such assumed obligation and shall evidence the same character of obligation as evidenced by such obligation as assumed by the successor municipality, subject to the limitations and other provisions in [NRS 350.674](#) and [350.700](#).

(Added to NRS by [1967, 445](#); A [1979, 1641](#))

NRS 350.706 Other statutory provisions applicable to refunding bonds. Except as in [NRS 350.684](#) to [350.704](#), inclusive, expressly provided or necessarily implied, the relevant provisions elsewhere herein appertaining generally to the issuance of bonds to defray the cost of any project shall be equally applicable in the authorization and issuance of refunding bonds, including their terms and security, the covenants and other provisions of the ordinance authorizing the issuance of the bonds, or other instrument or proceedings appertaining thereto, and other aspects of the bonds.

(Added to NRS by [1967, 446](#))

NRS 350.708 Conclusive determination of governing body that statutory limitations have been met. The determination of the governing body that the limitations in the Local Government Securities Law imposed upon the issuance of bonds or upon the issuance of other securities hereunder, including without limitation any securities for funding or refunding securities, have been met shall be conclusive in the absence of fraud or arbitrary and gross abuse of discretion regardless of whether the authorizing ordinance or the securities thereby authorized contain a recital as authorized by [NRS 350.628](#).

(Added to NRS by [1967, 446](#); A [1969, 1595](#))

NRS 350.710 Bonds and other securities exempt from taxation; exception.

1. Except as otherwise provided in subsection 2, bonds and other securities issued pursuant to the provisions of the Local Government Securities Law, their transfer and the income therefrom must forever be and remain free and exempt from taxation by this state or any subdivision thereof.

2. The provisions of subsection 1 do not apply to the tax on estates imposed pursuant to the provisions of [chapter 375A](#) of NRS or the tax on generation-skipping transfers imposed pursuant to the provisions of [chapter 375B](#) of NRS.

(Added to NRS by [1967, 446](#); A [1989, 2107](#); [1991, 1710](#))

NRS 350.712 Securities issued as general obligations are legal investments for state money. It is legal for the State Board of Finance to invest any permanent state funds or other state funds available for investment in any of the bonds or other securities authorized to be issued pursuant to the provisions hereof if the securities constitute general obligations payable from taxes.

(Added to NRS by [1967, 446](#))

NRS 350.714 Legal investments for other persons.

1. It is legal for any bank, trust company, banker, savings bank or institution, savings and loan association, investment company and any other person carrying on a banking or investment business, any insurance company, insurance association, or any other person carrying on an insurance business, and any executor, administrator, curator, trustee or any other fiduciary, to invest funds or money in his or her custody in any of the bonds or other securities issued in accordance with the provisions of the Local Government Securities Law.

2. Nothing contained in this section with regard to legal investments relieves any representative of any corporation or other person of any duty of exercising reasonable care in selecting securities.

(Added to NRS by [1967, 446](#); A [1983, 131](#))

NRS 350.718 Sufficiency of Local Government Securities Law.

1. The Local Government Securities Law, without reference to other statutes of this state, except as herein otherwise expressly provided, shall constitute full authority for the exercise of the incidental powers herein granted concerning the borrowing of money and any other incurrence of obligations to defray wholly or in part the cost of any project appertaining to the municipality and otherwise authorized by law, or to refinance outstanding loans, or both, and the issuance of bonds or other securities to evidence such loans or other obligations or to fund or refund outstanding securities, or any combination thereof, as the governing body may determine.

2. No other act or law with regard to the authorization or issuance of securities or the exercise of any other power herein granted that requires an election or another approval or in any way impedes or restricts the carrying out of the acts herein authorized to be done shall be construed as applying to any proceedings taken hereunder or acts done pursuant hereto, except as otherwise provided in the Local Government Securities Law or in any act supplemental hereto.

3. The powers conferred by the Local Government Securities Law shall be in addition and supplemental to and not in substitution for, and the limitations imposed by the Local Government Securities Law shall not affect the powers conferred by, any other law.

4. Nothing contained in the Local Government Securities Law shall be construed as preventing the exercise of any power granted to the municipality, acting by and through the governing body, or any officer, agent or employee of the municipality, or otherwise, by any other law.

5. No part of the Local Government Securities Law shall repeal or affect any other law or part thereof, it being intended that the Local Government Securities Law shall provide a separate method of accomplishing its objectives and not an exclusive one; and the Local Government Securities Law shall not be construed as repealing, amending or changing any such other law.

(Added to NRS by [1967, 448](#))

NRS 350.720 Liberal construction. The Local Government Securities Law being necessary to secure the public health, safety, convenience and welfare, shall be liberally construed to effect its purposes.

(Added to NRS by [1967, 448](#))

MISCELLANEOUS PROVISIONS

NRS 350.800 Transactions whereby municipality acquires property and another person acquires or retains security interest in that or other property.

1. A transaction whereby a municipality acquires real or personal property and another person acquires or retains a security interest in that or other property creates a general obligation of the municipality which must be counted against any limit upon its debt unless:

(a) The obligation by its terms is extinguished by failure of the governing body to appropriate money for the ensuing fiscal year for payment of the amounts then due; or

(b) The budget of the municipality for the fiscal year in which the transaction occurs includes a provision for the discharge of the obligation in full.

2. Any member of the governing body may vote upon such a transaction whether or not the obligation incurred is expected to extend beyond his or her term of office, without any special notice or other formality.

3. Any such transaction is subject to the requirements of this chapter for an election if it must be counted against a debt limit, but, except as otherwise provided in [NRS 350.011](#) to [350.0165](#), inclusive, and [350.087](#) to [350.095](#), inclusive, is not subject to any other requirement of this chapter.

4. In addition to or as a substitute for granting a security interest in the property being acquired in a transaction described in subsection 1, the municipality may grant a security interest in other property if the governing body finds that:

(a) Granting the security interest in the other property will result in lower financing costs to the municipality; and

(b) The value of all property in which a security interest is granted does not, at the time the security interest is granted, exceed an amount equal to one and one-half times the value of the property being acquired.

Ê The finding and determination of values by the governing body are conclusive in the absence of fraud or gross abuse of discretion.

(Added to NRS by [1981, 942](#); A [1989, 166](#); [2001, 2314](#))

NRS 350.810 Purchase of municipal obligations by financial adviser of municipality limited.

1. Except as permitted by this section, no person who for compensation advises a municipality concerning the acquisition of a project to be financed in whole or in part by issuing general or special obligations of the municipality, or concerning the issuance or sale of those obligations, may purchase any of them from the municipality. This subsection does not prohibit:

(a) One who performs work or furnishes property for the project from accepting municipal obligations in payment for his or her work or property.

(b) An adviser from purchasing municipal obligations at a public sale if such a purchase is authorized by prior written agreement.

(c) An adviser from purchasing municipal obligations at a private sale if he or she has:

(1) Terminated his or her status as adviser in writing and at or after this termination the municipality has consented in writing to the purchase; and

(2) Disclosed in writing to the municipality at or before this termination the possibility of a conflict of interest on his or her part and the source and anticipated amount of all his or her remuneration, in addition to his or her compensation as adviser, with respect to the obligations to be sold, and the municipality has acknowledged in writing the receipt of these disclosures.

2. If municipal obligations are to be issued to refund others already outstanding, no person may accept any compensation for advice unless the compensation is fixed in advance, but such a person may purchase the refunding obligations.

(Added to NRS by [1981, 942](#))

NRS 350.820 Agreements for exchange of interest rates.

1. A municipality that has issued or proposes to issue municipal securities in the amount of \$10,000,000 or more may enter into an agreement for an exchange of interest rates as provided in this section if it finds that such an agreement would be in the best interests of the municipality.

2. A municipality may enter into an agreement to exchange interest rates only if:

(a) The long-term debt obligations of the person with whom the municipality enters the agreement are rated “A” or better by a nationally recognized rating agency; or

(b) The obligations pursuant to the agreement of the person with whom the municipality enters the agreement are either:

(1) Guaranteed by a person whose long-term debt obligations are rated “A” or better by a nationally recognized rating agency; or

(2) Collateralized by obligations deposited with the municipality or an agent of the municipality which would be legal investments for the State pursuant to [NRS 355.140](#) and which have a market value at the time agreement is made of not less than 100 percent of the principal amount upon which the exchange of interest rates is based.

3. A municipality may agree, with respect to securities that the municipality has issued or proposes to issue bearing interest at a variable rate, to pay sums equal to interest at a fixed rate or rates or at a different variable rate determined pursuant to a formula set forth in the agreement on an amount not to exceed the principal amount of the municipal securities with respect to which the agreement is made, in exchange for an agreement to pay sums equal to interest on the same principal amount at a variable rate determined pursuant to a formula set forth in the agreement.

4. A municipality may agree, with respect to securities that the municipality has issued or proposes to issue bearing interest at a fixed rate or rates, to pay sums equal to interest at a variable rate determined pursuant to a formula set forth in the agreement on an amount not to exceed the outstanding principal amount of the municipal securities with respect to which the agreement is made, in exchange for an agreement to pay sums equal to interest on the same principal amount at a fixed rate or rates set forth in the agreement.

5. The term of an agreement entered into pursuant to this section must not exceed the term of the municipal securities with respect to which the agreement was made.

6. An agreement entered into pursuant to this section is not a debt or indebtedness of the municipality for the purposes of any limitation upon the indebtedness of the municipality or any requirement for an election with regard to the issuance of securities that is applicable to the municipality.

7. Limitations upon the rate of interest on a municipal security do not apply to interest paid pursuant to an agreement entered into pursuant to this section.

8. A municipality which has entered into an agreement pursuant to this section with respect to those securities may treat the amount or rate of interest on the securities as the amount or rate of interest payable after giving effect to the agreement for the purpose of calculating:

(a) Rates and charges of a revenue-producing enterprise whose revenues are pledged to or used to pay municipal securities;

(b) Statutory requirements concerning revenue coverage that are applicable to municipal securities;

(c) Tax levies to pay debt service on municipal securities; and

(d) Any other amounts which are based upon the rate of interest of municipal securities.

9. Subject to covenants applicable to the securities, any payments required to be made by the municipality under the agreement may be made from money pledged to pay debt service on the securities with respect to which the agreement was made or from any other legally available source.

(Added to NRS by [1991, 356](#))